

Equity Research Report



Bombardier

Bombardier Inc. (TSX: BBD.B)

Rating: **SELL/UNDERWEIGHT**

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This report was made for educational purposes only and does not constitute financial advice.

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1. Executive Summary & Investment Recommendation

1.1 Investment Recommendation & Core Thesis

We establish a **SELL / UNDERWEIGHT** recommendation on **Bombardier Inc. (TSX: BBD.B)** with a 12-month fundamental target price of **\$227.09 CAD** (\$161.09 USD), representing an **implied downside of (35.6%)** from the current trading price of **\$352.72 CAD**.

Investment Summary

Metric / Parameter	Core Value / Assumption
Ticker (Exchange)	BBD.B (TSX)
Recommendation	SELL / UNDERWEIGHT
Current Stock Price	\$352.72 CAD
Baseline Intrinsic Target Price	\$227.09 CAD
Implied Downside	(35.6%)
Base Case Enterprise Value (EV)	\$19,159 million USD
Base Case Implied Equity Value	\$16,180 million USD
Fully Diluted Shares Outstanding	100.441 million
Exchange Rate Baseline	1.41 USD/CAD
Baseline WACC / Terminal Growth	9.8% / 2.0%

Core Investment Thesis

While Bombardier's post-reorganization operational turnaround, aggressive debt reduction, and strong business jet demand (anchored by a **\$20.3 billion USD backlog**) are commendable, the public equity market has fundamentally decoupled from the firm's intrinsic cash-generation capacity.

At current valuation levels near **\$352.72 CAD**, the stock trades at an implied Enterprise Value approaching **~\$28.0 billion USD** — pricing Bombardier directly at the maximum 17.1x EV/EBITDA peer multiple ceiling. This valuation leaves zero margin of safety and demands flawless, friction-free execution across every operational variable.

Our thesis rests on three core structural pillars:

1. **The "Priced-for-Perfection" Execution Trap:** To justify the current market price, Bombardier must achieve uninterrupted inventory turns (reducing inventory days from 196 to 185), maintain CapEx structurally below D&A over a multi-year forecast horizon, and deliver on aggressive aircraft unit targets (157+ units in 2026F) without experiencing a single supply chain hiccup.
2. **The Impending Post-2030 Cash Tax Cliff:** Public markets are aggressively capitalizing Bombardier's near-term \$0 cash tax profile. However, as our tax tracking schedule demonstrates, the firm's **\$8,040 million USD** legacy tax loss carryforward is a finite resource that depletes rapidly to \$2,013 million USD by 2030F. The market is pricing temporary, tax-free cash flows into perpetuity while ignoring the inevitable cash tax drag that will hit pre-tax operational earnings post-2030.
3. **Severe Risk/Reward Asymmetry:** Our multi-scenario analysis reveals a severely toxic risk profile for equity holders. Even under a **Best-Case** scenario assuming optimized execution and peak macroeconomic tailwinds, the resulting target price of **\$305.98 CAD** offers **0% fundamental upside** from current levels. Conversely, if supply chain bottlenecks or macroeconomic softening push performance toward our **Worst-Case** scenario (**\$111.26 CAD**), equity holders face a catastrophic **~68% downside**.

1.2 Valuation Summary & Market Disconnect

To establish a comprehensive valuation anchor, Bombardier was evaluated across an institutional Discounted Cash Flow (DCF) model, a 5x5 sensitivity matrix, a multi-scenario framework, and a comparable peer trading analysis.

Valuation Methodology / Benchmark	Enterprise Value (\$M USD)	Less Debt (\$M USD)	Net (\$M USD)	Implied Equity Value (\$M USD)	Implied Price (USD)	Implied Target Price (CAD)	Implied Premium / (Discount)
Current Market Trading Price (BBD.B)	\$28,105	(\$2,979)		\$25,126	\$250.16	\$352.72	0.0%
DCF — Best Case Scenario	\$24,780	(\$2,979)		\$21,801	\$217.05	\$305.98	(13.3%)
DCF — Base Case (Baseline Target)	\$19,159	(\$2,979)		\$16,180	\$161.09	\$227.09	(35.6%)
DCF — Worst Case Scenario	\$10,906	(\$2,979)		\$7,927	\$78.92	\$111.26	(68.5%)
Comps — Peer Group Maximum (17.1x EV/EBITDA)	\$27,967	(\$2,979)		\$24,988	\$248.78	\$350.78	(0.5%)
Comps — Peer Group Median (13.9x EV/EBITDA)	\$22,856	(\$2,979)		\$19,877	\$197.89	\$279.03	(20.9%)
Comps — Peer Group Average (13.6x EV/EBITDA)	\$22,328	(\$2,979)		\$19,349	\$192.64	\$271.62	(23.0%)
Comps — Peer Group Minimum (9.5x EV/EBITDA)	\$15,631	(\$2,979)		\$12,652	\$125.96	\$177.61	(49.6%)
52-Week High Trading Bound (\$371.49 CAD)	\$29,448	(\$2,979)		\$26,469	\$263.53	\$371.49	+5.3%
52-Week Low Trading Bound (\$147.61 CAD)	\$13,496	(\$2,979)		\$10,517	\$104.71	\$147.61	(58.2%)

Key Valuation Takeaways

- **DCF Model Inputs:** Our Base Case DCF applies a **9.8% WACC** (10.2% Cost of Equity, 7.4% after-tax Cost of Debt) and a conservative **2.0% Terminal Growth Rate** aligned with long-term central bank inflation targets. This yields an Enterprise Value of **\$19,159 million USD** and an intrinsic equity value of **\$227.09 CAD** per share.
- **Sensitivity Matrix Disconnect:** Out of 25 sensitized DCF scenarios flexing WACC (by ± 200 basis points) and Terminal Growth (by ± 100 basis points), **24 scenarios (96%)** yield a discount to the current stock price. The single scenario justifying current trading levels requires an unrealistic combination of a 7.8% WACC and a 3.0% perpetual growth rate.
- **Relative Peer Cap:** Bombardier currently trades at the maximum multiple boundary of its aerospace peer group (General Dynamics, Dassault Aviation, Embraer, and Textron). A cross-methodology aggregation establishes an average base valuation of **\$20,479 million USD** (~\$240 CAD/share), confirming that market pricing has overshot fundamental fair value.

1.3 Key Catalysts & Valuation Trajectory

Downside Catalyst Roadmap

Horizon	Primary Downside Drivers & Triggers
Near-Term (6–12 Months)	• Execution risk on \$785M USD 2026 debt principal repayment. • Multiple compression as market pricing shifts from 17.1x peak toward peer medians.
Mid-Term (12–24 Months)	• Delivery bottlenecks and working capital drag from supply chain friction. • Moderation of order book intake with book-to-bill ratios settling near ~1.0x.
Long-Term (2028–2030+)	• Impending cash tax cliff as DTA loss carryforwards deplete toward \$2.01B USD. • Sustained CapEx catch-up reinvestment pressure exceeding depreciation.

Detailed Catalyst Breakdown

1. **2026 Debt Maturity Execution Risk:** Management plans to retire **\$785 million USD** in 2026 debt principal directly from available operating cash. If supply chain disruptions compress near-term cash conversion below our \$1.35 billion USD Unlevered Free Cash Flow forecast, Bombardier will be forced to roll over debt at elevated interest rates, destroying the modeled interest expense savings and stalling the transition to a Net Cash position by 2027F.
2. **Backlog Normalization & Book-to-Bill Moderation:** While the current **\$20.3 billion USD** backlog offers multi-year revenue visibility, persistent high interest rates continue to inflate buyer financing costs for corporate fleets. As post-pandemic demand normalizes, book-to-bill ratios are projected to settle near **~1.0x**, removing the primary narrative driving equity multiple expansion.
3. **CapEx Reinvestment Pressure:** Our Base-Case models CapEx trailing Depreciation & Amortization (**\$302M CapEx** vs. **\$439M D&A** in **2026F**). Operating an advanced aerospace manufacturing footprint with capital spending below depreciation is inherently unsustainable; any required facility maintenance, tooling upgrades for the *Global 8000*, or Sustainable Aviation Fuel (SAF) compliance mandates will directly erode free cash flow margins.
4. **Depletion of the Tax Shield:** As the accumulated tax loss balance declines from **\$8,040 million USD** in 2026F to **\$2,013 million USD** by 2030F, institutional investors will begin discounting the impending transition to a statutory **26.5%** cash tax burden, forcing a structural contraction in the firm's terminal valuation multiple.

2. Company & Business Model Overview

2.1 Business Segments & Product Portfolio

Bombardier has successfully completed a multi-year structural transformation, divesting its legacy commercial aviation and rail transport divisions to become a pure-play, specialized manufacturer of premium business jets. While this streamlined corporate structure eliminates the capital drag of lower-margin transport divisions and maximizes free cash flow generation for debt reduction, it also leaves the firm heavily concentrated and exposed to the cyclicity of the ultra-high-end aerospace market. Bombardier's manufacturing division is segmented into two primary aircraft families, which our financial model tracks as "Medium" and "Large" deliveries:

- **The Challenger Family (Medium / Super-Midsize):** Serving as the high-volume workhorses of the portfolio, this segment includes the Challenger 3500 and the Challenger 650. The Challenger 3500 remains a best-selling super-midsize jet, while the Challenger 650 provides larger cabin space and transatlantic range capabilities. These platforms are favored by corporate flight departments and fractional ownership operators (such as NetJets). However, because this segment relies on volume, it is highly sensitive to corporate budget tightening and competitive pricing pressures.
- **The Global Family (Large / Ultra-Long Range):** This premium segment commands higher pricing power and includes the Global 5500, 6500, 7500, and the newly certified Global 8000. Designed for ultra-long-range travel (up to 8,000 nautical miles for the Global 8000), these aircraft cater to ultra-high-net-worth individuals (UHNWI) and multinational executives. The Global series serves as the primary margin-driver within the manufacturing segment; consequently, any supply chain bottlenecks or delivery delays in this family pose a direct threat to the firm's premium equity valuation.
- **Bombardier Defense:** The company also monetizes its existing airframes by heavily modifying Challenger and Global jets for specialized government and military missions, including Intelligence, Surveillance, and Reconnaissance (ISR) and medical evacuation (Medevac). While this diversifies revenue, defense contracts are notoriously lumpy and subject to prolonged procurement cycles.

Historically, aerospace manufacturing is highly cyclical and vulnerable to macroeconomic downturns. To counter this, Bombardier has aggressively expanded its Aftermarket Services division, which encompasses maintenance, repair, and overhaul (MRO), parts distribution, and mobile response teams. By expanding its global footprint of service centers, Bombardier aims to capture the recurring, high-margin revenue generated by its massive fleet of active aircraft.

Our internal modeling explicitly incorporates this structural pivot, projecting Service Revenue to grow at **15.0% year-over-year in 2026F**, outpacing manufacturing volume growth. Because services carry structurally higher gross margins than new airframe assembly, this segment provides the baseline cash flow required to meet forward debt obligations. However, with current equity pricing demanding flawless execution, any deceleration below this 15.0% projection — whether due to MRO facility capacity limits or skilled labor bottlenecks — will expose the core manufacturing business to market multiple compression.

2.2 Revenue Breakdown

Bombardier's consolidated top line has demonstrated resilient expansion over the past three fiscal years, scaling from **\$8.05 billion USD** in 2023 to **\$9.55 billion USD** in 2025. This represents a **10.2% year-over-year growth rate** in the latest fiscal year, driven by a record **\$17.5 billion USD** order backlog and an expansion of the company's aftermarket service centers. Moving forward, our Base Case model assumes a controlled, normalized deceleration of aggregate revenue growth as the post-pandemic corporate aviation boom normalizes. We project consolidated revenues to reach **\$10.42 billion USD in 2026F** and scale to **\$13.24 billion USD by 2030F**.

Crucially, the internal composition of this revenue is shifting. Bombardier is intentionally pivoting to derive a larger percentage of its top line from the high-margin Services segment. While this fundamentally alters the company's cash flow profile and supports long-term deleveraging, our analysis indicates that equity markets have aggressively front-run this transition, pricing the stock for absolute perfection.

Aircraft Manufacturing

New aircraft assembly remains the core volume driver, historically accounting for roughly 75% to 80% of total revenues. In 2025, Manufacturing Revenue generated **\$7.25 billion USD** on 157 total deliveries (86 Large category jets and 71 Medium category jets).

Our forecast strictly bounds manufacturing volume to realistic capacity limits. We model total deliveries increasing to **165 units in 2026F**, peaking at **185 units by 2030F**. Concurrently, we apply a conservative **2.0%** annual pricing increase per airframe to account for baseline inflation and pricing power. This combination of moderate volume expansion and fixed price increases models manufacturing revenue scaling to **\$9.43 billion USD** by 2030F. By anchoring our volume targets to 185 deliveries rather than forecasting unbounded exponential growth, the model acknowledges the physical supply chain bottlenecks and factory capacity limits inherent to heavy aerospace manufacturing. This physical ceiling on deliveries heavily restricts the potential for near-term revenue upside to surprise the market.

Aftermarket Services

The Aftermarket Services division is the linchpin of Bombardier's margin expansion and free cash flow durability. Because new aircraft sales are highly cyclical, recurring maintenance, part replacement, and defense upgrades provide a vital buffer against macroeconomic downturns.

In 2025, Services Revenue hit an all-time high of **\$2.31 billion USD**, representing a **13.2% year-over-year growth rate**. Recent market data confirms this aggressive trajectory is accelerating, with **Q1 2026** aftermarket revenues growing **25% year-over-year** as flight utilization rates increase across Bombardier's growing global fleet.

Our model explicitly captures this structural shift, giving management full credit for future execution. We forecast Services Revenue to grow by **15.0% in 2026F** (reaching **\$2.65 billion USD**), maintaining strong, outsized growth rates before stabilizing at **8.0%** terminal growth by 2030F (reaching **\$3.81 billion USD**). As a result, the Services segment — which accounted for just **21.7%** of total revenue in 2023 — is modeled to represent **28.8% of Bombardier's total revenue by 2030**.

This modeled revenue mix transformation is what anchors our projected adjusted EBITDA margins above the 16.0% threshold. However, because current market valuations (at ~17.2x EV/EBITDA) already require this exact mix shift to justify current equity pricing, any operational failure to hit these aggressive 15.0% service growth targets will severely fracture the cash conversion engine, threatening scheduled debt repayments and exposing the stock to violent downside multiple contraction.

2.3 Manufacturing Operations & Global Footprint

Bombardier operates a highly integrated, international manufacturing supply chain, with its primary aerostructure, assembly, and completion facilities strategically located across Canada, the United States, and Mexico. The company's headquarters and heaviest manufacturing concentrations are located in Québec and Ontario. The Dorval, Québec footprint houses the primary Challenger manufacturing center and the Laurent Beaudoin Completion Centre, which handles the final interior outfitting for the Global aircraft family.

To support the volume expansion modeled in our Base Case delivery schedule, management is being forced to aggressively deploy capital to alleviate factory bottlenecks. In **January 2026**, Bombardier announced a **\$100 million CAD** investment to construct a new 126,000-square-foot manufacturing center in Dorval, scheduled to open by the end of 2027. While this physical expansion is designed to increase production capacity and address the **\$17.5 billion USD** order backlog, it introduces significant execution risk. This build-out aligns with our internal model's Capital Expenditure schedule, which forecasts CapEx running at a steady **2.9%** of total revenue, generating **\$302 million USD** in absolute capital investments in 2026F. However, if this facility faces construction delays, cost overruns, or supply chain shortages, the resulting CapEx bloat will directly compress the Unlevered Free Cash Flow required for forward debt reduction.

A critical component of Bombardier's pure-play aviation strategy is its massive, high-margin aftermarket service network. To capture the recurring revenue of its 5,200+ active global aircraft fleet, the company operates a vast, capital-intensive customer support network encompassing 10 major service facilities across 6 countries.

This footprint includes heavy-maintenance Service Centers in strategic global hubs such as Wichita (Kansas), Dallas (Texas), London Biggin Hill (UK), Melbourne (Australia), and Dubai (UAE). The Wichita facility, in particular, has been expanded to support the entire family of Learjet, Challenger, and Global jets, while also serving as the headquarters for the newly renamed Bombardier Defense division.

This dispersed global footprint is the physical infrastructure required to drive the 15.0% Services Revenue growth modeled in our 2026F projections. By maintaining OEM (Original Equipment Manufacturer) service centers in every major geographical time zone, Bombardier aims to capture the lucrative maintenance, repair, and overhaul (MRO) revenue that insulates the firm's free cash flow. Yet, managing a fixed-cost global footprint of this scale leaves the company highly vulnerable. The market's current valuation assumes perfect utilization across all 10 facilities; any localized downturns, skilled labor shortages, or wage inflations within this global network will severely degrade the margins required to support the stock's current multiple.

3. Investment Thesis & Key Catalysts

3.1 Market Disconnect

The fundamental disconnection between our model and the current market capitalization stems from a divergence in valuation methodology. The broader market is currently pricing Bombardier based on relative multiples applied to peak-cycle operating metrics. For context, the market has recently assigned Bombardier a normalized **Price-to-Earnings (P/E)** premium over direct aerospace peers, trading near **28.3x** compared to competitors like Textron, which trades closer to **14.4x**.

The street justifies this premium by taking exceptional near-term results — such as the **3.6x book-to-bill ratio** and the **25% year-over-year** surge in aftermarket service revenues reported in **Q1 2026** — and implicitly modeling them into perpetuity. By doing so, the market is effectively valuing a heavy industrial manufacturer as an unconstrained growth asset, failing to price in the physical capacity limits of airframe assembly.

Our Base Case explicitly rejects this unbounded relative valuation approach. Instead of applying peer multiples to cyclically elevated, post-pandemic earnings, our model relies on a strictly constrained Discounted Cash Flow (DCF) framework. By capping total manufacturing volume at 185 annual deliveries and anchoring the perpetuity growth rate to a mature **2.0%**, the model forces a reversion to historical industrial norms.

The core of the mispricing is that the market is buying top-line revenue momentum, whereas intrinsic equity valuation must prioritize the cash flow available to retire liabilities. The current equity premium fails to discount the structural gravity of the company's existing leverage. Our DCF model establishes an intrinsic Enterprise Value of **\$19.16 billion USD**. Until scheduled amortizations clear the balance sheet, deducting the firm's current debt load from this fixed EV creates a strict mathematical ceiling on near-term Equity Value — a ceiling that multiples-based investors are currently ignoring. The market is pricing in the end state of the turnaround today, rather than acknowledging the multi-year cash conversion cycle and execution risk required to actually achieve a net-cash position.

3.2 Primary Downside Catalysts & Triggers

The most immediate operational risk to Bombardier's free cash flow generation is the fragility of the global aerospace supply chain. While the company's airframe production is scaling, industry-wide bottlenecks remain severe. Recent analyses indicate that aerospace delivery shortfalls continue to disrupt manufacturers, primarily because airframe production is frequently outpacing the availability of critical components, notably engines.

For Bombardier, this presents a significant working capital risk. If suppliers of engines (such as Rolls-Royce for the *Global* series or Pratt & Whitney for the *Challenger* platforms) or critical avionics fail to deliver on schedule, newly completed airframes will be forced into storage. In our financial model, an inventory build-up of this nature would instantly trap capital, causing a severe negative adjustment in the "Change in Working Capital" line item. This would directly erode the **\$1.35 billion USD** Unlevered Free Cash Flow (UFCF) projected for 2026F, threatening the liquidity required for scheduled debt amortization.

While the market is heavily discounting the permanence of the company's recent **\$17.5 billion (2025)** to **\$20.3 billion (Q1 2026)** order backlog, this metric is highly sensitive to macroeconomic weakness. Credit rating agencies have explicitly highlighted that a decline in the backlog driven by lower business jet orders — potentially resulting from tighter corporate cost controls or weaker macroeconomic conditions — serves as a primary downside trigger that could halt further credit upgrades.

Furthermore, the private aviation market is showing signs of bifurcation. While demand from fractional ownership operators and ultra-high-net-worth individuals for flagship models like the *Global 7500* remains robust, outright corporate purchases are facing increased scrutiny as companies tighten capital expenditures. If a broader economic recession triggers a wave of order deferrals or cancellations in the highly profitable mid-size segment, Bombardier would suffer a rapid contraction in manufacturing margins, breaking the baseline assumption that pricing power will offset inflation through 2030F.

The current market premium (trading near **\$352.72 CA\$**) completely ignores these vulnerabilities, pricing the stock as if perfect, internally funded debt paydown is already a certainty. If the aforementioned supply chain disruptions or demand shocks materialize, the bullish deleveraging narrative collapses.

Credit analysts have modeled simulated downside scenarios for Bombardier, contemplating how operational missteps amid lower aircraft and aftermarket demand could cause operating cash flow deficits and weakened liquidity. If Bombardier is forced to roll over its upcoming debt maturities at elevated interest rates rather than retiring them, the projected **\$10.3 billion** structural shift to a net cash position by 2030F will fail. Under these distress conditions, the stock would not merely revert to our **\$227.09 CA\$** Base Case target, it would violently re-price substantially below it, erasing the entirety of the current market premium and exposing investors to severe capital loss.

3.3 Order Backlog Health & Demand Sustainability

The primary defense against the manufacturing cyclicality outlined in our downside risks is Bombardier's current order book. As of March 31, 2026, Bombardier's total order backlog reached a staggering **\$20.3 billion USD**. This represents an increase of \$2.8 billion from year-end 2025 and a 43% growth rate year-over-year. This expansion was driven by an extraordinary Q1 2026 unit book-to-bill ratio of 3.6x, meaning the company secured nearly four new aircraft orders for every single jet it delivered during the quarter.

This demand is heavily supported by large fleet operators and strong market reception for the flagship ultra-long-range *Global 8000*. By securing a \$20.3 billion backlog, management has locked in multi-year revenue visibility. This visibility derisks our Base Case delivery schedule, which models 165 total deliveries for 2026F and caps long-term output at 185 units by 2030F. The massive backlog ensures that even if near-term order intake cools, factory floors should maintain high capacity utilization through the critical debt-repayment window.

Demand sustainability is further supported by leading indicators in the aftermarket services segment. In **Q1 2026**, Bombardier's services revenue surged by **25% year-over-year** to **\$617 million USD**. This growth directly correlates with active fleet utilization; during the same quarter, flight hours for the *Global* fleet increased by **8% year-over-year**, while *Challenger* flight hours rose by **6%**.

This utilization data acts as a reliable leading indicator for future maintenance and parts demand. As the active fleet flies more hours, mandatory service intervals are triggered faster, creating a predictable, recurring revenue stream. This dynamic supports the recent S&P Global Ratings outlook upgrade to positive, which cites robust growth in aftermarket and defense sectors as key drivers for operating cash flow durability.

Following its **Q1 2026** outperformance, Bombardier raised its 2026 full-year Free Cash Flow guidance to **greater than \$1.0 billion USD**. However, from a valuation perspective, these stellar operational metrics do not provide unconstrained equity upside. Our Base Case DCF model explicitly incorporates this raised cash flow trajectory, projecting 2026F UFCF of **\$1.35 billion USD**. Despite modeling these record operational outcomes, our DCF yields an intrinsic target price of **\$227.09 CA\$**. This confirms that at current market prices (**\$352.72 CA\$**), equity markets have already priced in the positive backlog trajectory and S&P credit upgrades, leaving current buyers exposed to severe downside if order cancellations or supply chain delays disrupt this high operational baseline.

4. Industry Dynamics & Competitive Landscape

4.1 Business Aviation Market Overview & Macro Drivers

The global business aviation sector has successfully transitioned out of a post-pandemic recovery phase and entered a period of normalized, structural expansion. The total global business jet market was valued at **\$72.1 billion USD in 2024** and is projected to reach **\$83.4 billion USD in 2026**, scaling toward **\$113.4 billion USD by 2030**. This trajectory represents a sustained **Compound Annual Growth Rate (CAGR) of 7.9%** from 2025 through the end of the decade. North America continues to dominate the competitive landscape, capturing the largest revenue share globally at 37.8%.

A critical pillar supporting our Base Case forecast for Bombardier's aftermarket services growth is the unprecedented volume of global flight activity:

- Heading into 2026, global business aircraft utilization is tracking a nearly **5% year-over-year growth rate**.
- According to the 2025 Honeywell Global Business Aviation Outlook, 91% of surveyed operators expect to fly more or about the same in 2026 compared to 2025.
- Furthermore, nearly 30% of operators expect to log more flight hours in the coming year, while roughly 60% expect to fly the same amount.

This sustained utilization is the primary catalyst driving the 15.0% growth we model in Bombardier's Services Revenue for 2026F, as increased flight hours directly accelerate mandatory maintenance, repair, and overhaul (MRO) intervals.

The structural composition of aircraft ownership is also rapidly evolving. Demand for fractional ownership models — where buyers purchase shares of an aircraft rather than outright ownership — continues to drastically outpace broader industry growth:

- Fractional fleets have grown by more than 65% since 2019, fundamentally altering OEM order books.
- Currently, light, midsize, and super-midsize jets comprise roughly 80% of total fractional fleets globally.
- This specific segment demand provides a massive volume floor for Bombardier's *Challenger 3500*, which has become a staple for major fractional operators.

However, while fractional demand insulates delivery volumes, it introduces a hidden margin risk. Fractional operators exert immense pricing power due to bulk fleet orders, effectively forcing OEMs to accept lower unit gross margins compared to traditional outright retail purchases. If Bombardier relies too heavily on discounted fractional orders to sustain its backlog, its blended manufacturing margins will compress, threatening the cash conversion engine.

Looking forward, industry forecasts predict that OEMs will deliver 8,500 new business jets, valued at an estimated **\$283 billion USD**, over the next 10 years. Entering 2026, 20% of operators globally have at least one aircraft on firm order. This broad macroeconomic stability validates our model's expectation that Bombardier can sustain deliveries of 165 to 185 units annually.

Ultimately, this is the crux of the market disconnect. Our **\$227.09 CA\$** Base Case target price already fully credits Bombardier with capturing its share of this \$283 billion macroeconomic super-cycle. By pricing the stock near **\$352.72 CA\$**, current equity investors are assuming the industry will radically outpace these already-bullish decade-long forecasts without experiencing a single cyclical contraction — leaving the stock dangerously exposed to any macroeconomic reversion to the mean.

4.2 Peer Comparison & Market Share Positioning

The global business aviation manufacturing sector operates as a **highly consolidated oligopoly** dominated by five major players: Bombardier, Gulfstream (General Dynamics), Textron Aviation (Cessna/Beechcraft), Dassault Aviation, and Embraer. Each original equipment manufacturer (OEM) strategically dominates specific size and range categories, rather than competing evenly across the entire spectrum. This structural segmentation allows manufacturers to maintain pricing power within their respective niches, preventing an all-out price war on airframe assembly.

Manufacturer	Core Segment Focus	Key Competing Platforms	Est. Segment Market Share
Gulfstream (General Dynamics)	Ultra-Long-Range / Large Cabin	G700, G650ER, G550	~37% (Premium Segment)
Bombardier	Ultra-Long-Range / Super-Midsize	Global 7500/8000, Challenger 3500	~25% (Ultra-Long Segment)
Dassault Aviation	Large Cabin / European Luxury	Falcon 10X, 8X, 6X	~15% (Large Cabin)
Textron Aviation	Light / Midsize / Turboprop	Citation Longitude, Latitude, CJ4	~28% (Volume/Light Segment)
Embraer	Light / Midsize	Praetor 500/600, Phenom 300E	~12% (Light/Midsize Segment)

The most critical competitive dynamic for our Base Case model is the direct rivalry between Bombardier and Gulfstream in the ultra-long-range, large-cabin market. Gulfstream currently maintains a firm market leadership position in this premium tier, capturing approximately **37% of the ultra-long-range market share**. Bombardier's *Global* family — specifically the flagship *Global 7500* and the newly introduced *Global 8000* — secures a strong **~25% share** in this same segment. This specific battleground is vital because large-cabin jets command the highest gross margins and generate the most lucrative recurring aftermarket service revenue, directly funding Bombardier's deleveraging schedule.

However, maintaining this ~25% market share requires ongoing, heavy capital investments to counter Gulfstream's newest flagship entries (the G700 and G800). Any aggressive discounting by Gulfstream to defend its 37% market share will directly compress Bombardier's realization prices per airframe, eroding the Unlevered Free Cash Flow (UFCF) assumptions baked into current market valuations.

While Textron Aviation leads the broader industry in absolute delivery volume — capturing roughly 28% of the light and midsize market with its *Citation* family — its revenue mix is fundamentally different from Bombardier's. Textron and Embraer (which holds approximately 12% in the light/midsize categories) focus heavily on smaller airframes geared toward owner-operators. Bombardier successfully defends its position against these volume players via the *Challenger 3500*, which dominates the super-midsize category and serves as a preferred platform for major fractional fleet operators. Yet, as established in Section 4.1, heavy reliance on fractional operators exposes Bombardier to institutional purchasing discounts that cap unit profitability.

Dassault Aviation rounds out the peer group, holding approximately 15% of the large-cabin market with its *Falcon* series. While Dassault's annual delivery volume is significantly lower (~40 units annually compared to Bombardier's 150+), its upcoming Falcon 10X poses a direct competitive threat to the upper-tier *Global* market share in Europe.

Valuation Implications

While Bombardier's focus on the super-midsize (*Challenger*) and ultra-long-range (*Global*) categories insulates it from the lower-margin light jet market, it does not justify the stock's current premium market valuation. Trading at **~17.2x EV/EBITDA (\$352.72 CA\$)**, equity markets are pricing Bombardier as if it holds an unassailable monopoly across business aviation. In reality, occupying the #2 position behind Gulfstream in a capital-intensive, highly competitive oligopoly leaves the equity vulnerable to severe multiple contraction if competitive discounting or market share shifts occur.

4.3 Supply Chain Dynamics & Cost Inflation Pressure

The global aerospace manufacturing sector remains highly constrained by supply chain bottlenecks and raw material shortages that have carried over from the post-pandemic period. Geopolitical instability and trade frictions have disrupted access to critical aerospace metals, leaving defense, commercial, and business aviation manufacturers competing fiercely for the same limited supply of titanium, aluminum forgings, and superalloys. Furthermore, a structural shortage of skilled technical labor — exacerbated by a wave of retirements and the two-to-three-year training cycle required for new mechanics — continues to drive up baseline wage inflation and extend aircraft turnaround times across the industry.

These bottlenecks are most severe in engine manufacturing and avionics. When critical suppliers (such as Pratt & Whitney or Rolls-Royce) face delays, OEMs are often forced to build "gliders" — completed airframes that cannot be delivered or monetized until the missing components arrive. For highly leveraged manufacturers, this dynamic threatens to trap critical liquidity inside raw inventory.

Bombardier has not been immune to these macroeconomic pressures. Management explicitly noted that profitability gains in 2025 were partially offset by elevated "supplier-disruption costs" as the company navigated part shortages. Looking forward into our forecast period, Bombardier's official 2026 guidance projects adjusted EBITDA to exceed **\$1.62 billion USD**, directly citing a "partial recovery of the supply chain disruption" as a primary driver for near-term margin expansion.

Our Base Case financial model explicitly captures this exact dynamic through the Cost of Goods Sold (COGS) schedule, effectively giving management full credit for this anticipated recovery. In fiscal year 2025, operating under peak supply chain friction, Bombardier's COGS spiked to 80.0% of total revenue. As the company realizes the modeled supply chain normalization and benefits from an increasing mix of higher-margin Services revenue, our model projects the COGS margin to compress to 79.5% in 2026F, driving down to a terminal rate of 78.5% by 2029F and 2030F.

This 150-basis-point improvement in direct costs is the fundamental operational mechanism that unlocks the **\$1.35 billion to \$1.57 billion USD** in annual Unlevered Free Cash Flow (UFCF) projected in our model. However, because our Base Case intrinsic valuation of **\$227.09 CA\$** already relies on this exact margin recovery, the current market pricing near **\$352.72 CA\$** leaves zero room for error. If inflation remains sticky, or if engine delivery delays force further inventory capital traps, Bombardier will fail to realize this modeled COGS compression. Without that margin expansion, the cash generation required to execute the deleveraging thesis will stall, exposing the stock to severe multiple contraction.

Paradoxically, the same supply chain constraints squeezing manufacturing margins act as a tailwind for Bombardier's Services division. As supply chain issues delay the delivery of new aircraft across the industry, operators are forced to fly their existing fleets longer, triggering heavier maintenance requirements on aging airframes. This grants Bombardier immense pricing power in its MRO facilities. Yet, while this services growth acts as a cash flow buffer, it cannot mathematically offset the severe liquidity drag of trapped airframe inventory if the manufacturing supply chain fractures.

5. Financial Analysis & Forecast Drivers

5.1 Historical Performance & Forecast Summary

Bombardier's fiscal year 2025 results officially marked the completion of its multi-year operational turnaround, establishing a high-water mark for the firm's recent financial history. The company generated **\$9.55 billion** in total revenue, representing a **10% year-over-year** increase that effectively surpassed management's own guidance targets. This top-line expansion was driven by a robust manufacturing cadence, resulting in 157 total aircraft deliveries (an 11-unit increase from 2024). Additionally, the high-margin Services division continued its aggressive growth trajectory, with segment revenues climbing **13% year-over-year**.

This favorable revenue mix translated directly into significant profitability gains. Adjusted EBITDA expanded by 15% to reach **\$1.56 billion**, pushing the adjusted EBITDA margin up 60 basis points to a healthy 16.3%. Most importantly for the broader deleveraging narrative, the company generated **\$1.07 billion** in free cash flow — an impressive **\$840 million** improvement compared to 2024. This cash generation allowed Bombardier to significantly de-risk its capital structure, improving its adjusted net debt-to-adjusted EBITDA ratio from a restrictive **2.9x** in 2024 down to **1.9x** at the close of 2025.

While the market has extrapolated these peak 2025 growth rates into perpetuity, our Base Case model imposes strict industrial constraints on the forward forecast. We project consolidated revenues to scale from **\$10.42 billion USD** in 2026F to **\$13.24 billion USD** by 2030F. This growth is explicitly not driven by unbounded manufacturing volumes; we cap long-term airframe output at 185 annual deliveries by 2030. Instead, top-line expansion is primarily supported by outsized growth in the Services segment (modeled at an aggressive 15.0% growth rate in 2026F) alongside a conservative 2.0% annual pricing increase per airframe to offset baseline inflation.

The ultimate driver of our intrinsic valuation is the flow-through of this revenue to Unlevered Free Cash Flow (UFCF). As supply chain frictions ease, our model projects the Cost of Goods Sold (COGS) margin to compress from 80.0% in 2025 down to 79.5% in 2026F, reaching a normalized terminal rate of 78.5% by 2030F.

This operational leverage, combined with tightly controlled SG&A (5.3% of revenue) and R&D (2.8% of revenue) expenditures, results in highly durable cash conversion. We forecast UFCF to scale from **\$1.35 billion USD** in 2026F to **\$1.57 billion USD** by 2030F. While this internally generated cash stream is structurally sufficient to fund the company's scheduled debt amortization without tapping external capital markets, it fundamentally fails to support current equity valuations. Because our model fully credits Bombardier with this flawless execution and still yields a strict intrinsic target of **\$227.09 CA\$**, the current **\$352.72 CA\$** market price implies that investors are pricing in cash flows far beyond these physical constraints. Any deviation from this aggressive cash conversion trajectory leaves the equity exposed to immediate multiple contraction.

5.2 Top-Line Operational Drivers

Top-line manufacturing growth in the Base Case model is driven by a controlled expansion in total aircraft deliveries alongside constant unit pricing escalation. Historical deliveries grew from 138 units in 2023A (63 Medium / 75 Large) to 146 units in 2024A (73 Medium / 73 Large) and reached 157 units in 2025A (71 Medium / 86 Large).

For the forecast period, total deliveries scale from 165 units in 2026F to 185 units in 2030F. Rather than assuming unconstrained volume expansion, the model enforces a disciplined operational ceiling, reflecting physical capacity constraints across Bombardier's primary assembly lines.

Concurrently, the model applies a constant 2.0% annual price increase across all forecast years (2026F–2030F). This drives the Implied Manufacturing Revenue per Aircraft from **\$47.076 million USD** in 2026F to **\$50.956 million USD** by 2030F, expanding overall Manufacturing Revenue from **\$7.768 billion USD** to **\$9.427 billion USD**. By explicitly modeling uninterrupted pricing power and peak factory utilization through 2030, our model grants Bombardier a flawless manufacturing execution cycle. Yet, even with these aggressive assumptions, the resulting cash flows fail to bridge the gap to the current equity valuation, indicating the street is pricing in physically impossible delivery volumes or unsustainably high airframe premiums.

Line Item / Model Driver	2025A	2026F	2027F	2028F	2029F	2030F
Projected Deliveries (Units)	157	165	172	178	182	185
<i>Price Increase (%)</i>	<i>1.6%</i>	<i>2.0%</i>	<i>2.0%</i>	<i>2.0%</i>	<i>2.0%</i>	<i>2.0%</i>
Implied Mfg. Revenue / Aircraft (\$M)	\$46.153	\$47.076	\$48.017	\$48.978	\$49.957	\$50.956
Manufacturing Revenue (\$M)	\$7,246	\$7,768	\$8,259	\$8,718	\$9,092	\$9,427

While manufacturing revenue grows at a predictable single-digit cadence, Aftermarket Services serves as the primary top-line growth vector. Following historical growth of 16.5% in 2024A and 13.2% in 2025A (**\$2.305 billion USD**), Services growth is modeled to hit 15.0% in 2026F (**\$2.651 billion USD**) before gradually moderating to 12.0% in 2027F, 10.0% in 2028F, and stabilizing at 8.0% in 2029F and 2030F (**\$3.809 billion USD**).

Because Services revenue outpaces overall delivery expansion, the revenue mix undergoes a structural shift. The Services share of total revenue rises from 24.1% in 2025A to 25.4% in 2026F, ultimately reaching 28.8% by 2030F.

Line Item / Model Driver	2025A	2026F	2027F	2028F	2029F	2030F
<i>Services Revenue Growth (%)</i>	<i>13.2%</i>	<i>15.0%</i>	<i>12.0%</i>	<i>10.0%</i>	<i>8.0%</i>	<i>8.0%</i>
Service Revenue (\$M)	\$2,305	\$2,651	\$2,969	\$3,266	\$3,527	\$3,809
Total Revenue (\$M)	\$9,551	\$10,418	\$11,228	\$11,984	\$12,619	\$13,236
Services % of Total Revenue	24.1%	25.4%	26.4%	27.3%	27.9%	28.8%
Total Revenue Growth (%)	10.2%	9.1%	7.8%	6.7%	5.3%	4.9%

This modeled shift towards high-margin, recurring maintenance and overhaul revenue provides the necessary cash flow stability to reach our Base Case intrinsic target of **\$227.09 CA\$**. However, public equity markets are valuing the firm as if this aggressive 15.0% near-term growth can be sustained indefinitely without running into MRO facility capacity limits or global technician shortages. Consequently, any mean-reversion in services growth poses an immediate, unpriced downside risk to the stock's elevated multiple.

5.3 Profitability Trajectory

Operating Cost Structure & Margin Compression

Bombardier's profitability profile is anchored by structural cost compression at the manufacturing level. Direct Cost of Goods Sold (COGS) reached 80.0% of revenue (**\$7,640 million USD**) during fiscal year 2025A due to lingering supply chain frictions and supplier-disruption expenses. Moving forward, the financial model projects COGS margins to steadily compress by 150 basis points as supply chains normalize and higher-margin aftermarket volume increases. COGS tightens to 79.5% in 2026F (**\$8,283 million USD**) and reaches a steady-state terminal rate of 78.5% by 2029F and 2030F (**\$10,390 million USD**).

Operating expenses below the gross profit line are strictly controlled to capture overhead scale leverage. Selling, General & Administrative (SG&A) expenses are modeled at a fixed 5.3% of revenue, scaling predictably from **\$552 million USD** in 2026F to **\$702 million USD** in 2030F. Similarly, Research & Development (R&D) is held at a disciplined 2.8% of revenue (**\$292 million USD** to **\$371 million USD**), ensuring sustained product innovation on platforms like the *Global 8000* without over-allocating capital. While our model assumes management can perfectly maintain these fixed ratios, any inflationary pressure on corporate wages or unexpected R&D requirements will immediately degrade the projected margins supporting our Base Case valuation.

EBITDA Expansion & Operating Income

This tightly managed cost structure drives significant operating leverage. Operating Income (EBIT) is projected to expand steadily from **\$1,292 million USD** in 2026F to **\$1,774 million USD** by 2030F.

To isolate the core cash-generating capacity of the business, Depreciation & Amortization (D&A) is added back to operating income. Driven by the Long-Term Asset schedule for Property, Plant & Equipment and Aerospace Tooling, total non-cash D&A steps down continuously from **\$439 million USD** in 2026F to **\$404 million USD** in 2030F. The resulting EBITDA trajectory assumes robust, cash-flow-accretive growth, scaling from **\$1,559 million USD** (16.3% margin) in 2025A to **\$1,731 million USD** (16.6% margin) in 2026F, and ultimately reaching **\$2,178 million USD** by the end of the forecast period.

Operating Profitability (\$M)	2025A	2026F	2027F	2028F	2029F	2030F
Total Revenue	\$9,551	\$10,418	\$11,228	\$11,984	\$12,619	\$13,236
Total Operating Expenses	(\$8,417)	(\$9,126)	(\$9,779)	(\$10,438)	(\$10,928)	(\$11,462)
EBIT	\$1,108	\$1,292	\$1,448	\$1,546	\$1,691	\$1,774
Add: D&A	--	\$439	\$426	\$416	\$409	\$404
EBITDA	\$1,559	\$1,731	\$1,874	\$1,961	\$2,100	\$2,178
EBITDA Margin %	16.3%	16.6%	16.7%	16.4%	16.6%	16.5%

EBT Expansion & Tax Shield Protection

Driven by top-line expansion, operating margin improvements, and aggressively reduced interest expenses as principal is repaid, Earnings Before Tax (EBT) expands rapidly across the forecast horizon, scaling from **\$849 million USD** in 2026F to **\$1,621 million USD** in 2030F.

A defining feature of the firm's near-term profitability profile is the protection provided by legacy tax loss carryforwards. Entering 2026F with **\$8,040 million USD** in accumulated tax losses, Bombardier fully offsets its taxable income across all forecast years. Consequently, Current Cash Income Taxes remain at \$0 through 2030F. While Deferred Tax Liabilities accrue at the 26.5% statutory rate (**\$225 million USD** in 2026F scaling to **\$430 million USD** in 2030F), the zero immediate cash tax drag ensures that 100% of pre-tax operational earnings flow directly into unlevered cash generation.

Tax Shield Profile (\$M)	2026F	2027F	2028F	2029F	2030F
Earnings Before Tax (EBT)	\$849	\$1,097	\$1,262	\$1,472	\$1,621
<i>Less: Current Taxes</i>	\$0	\$0	\$0	\$0	\$0
<i>Less: Deferred Taxes</i>	(\$225)	(\$291)	(\$334)	(\$390)	(\$430)
Beginning Tax Loss Balance	\$8,040	\$7,276	\$6,245	\$5,035	\$3,602
Ending Tax Loss Balance	\$7,276	\$6,245	\$5,035	\$3,602	\$2,013

Valuation Implications of the Tax Profile

While this tax shield artificially inflates near-term free cash flow, it is a finite resource. As demonstrated in our tracking schedule, the ending tax loss balance depletes rapidly to **\$2,013 million USD** by 2030F. The public market — trading at a premium **\$352.72 CA\$** valuation — is aggressively capitalizing these near-term, tax-free cash flows while failing to discount the impending "cash tax cliff" that will hit the firm post-2030. Our intrinsic **\$227.09 CA\$** DCF target correctly accounts for the eventual exhaustion of this shield, proving that current market multiples are unsustainably elevated by temporary tax dynamics.

5.4 Free Cash Flow Generation & Conversion Dynamics

Net Operating Profit After Taxes (NOPAT)

The foundation of Bombardier's valuation model is its ability to convert operating earnings into Unlevered Free Cash Flow (UFCF). To normalize cash generation for the Discounted Cash Flow (DCF) analysis, the model applies a statutory tax rate of 26.5% to the projected Operating Income (EBIT). While the firm benefits from legacy tax loss carryforwards that eliminate near-term cash taxes, this adjusted operating tax deduction ensures the intrinsic valuation reflects a normalized, steady-state tax burden. Consequently, Adjusted Operating Taxes scale from **\$342 million USD** in 2026F to **\$470 million USD** by 2030F. This calculation yields a Net Operating Profit After Taxes (NOPAT) that expands from **\$950 million USD** in 2026F to **\$1,304 million USD** by the end of the forecast period.

Working Capital Efficiency & Capital Expenditures

In our Base Case, cash flow conversion is further accelerated by assuming rigorous working capital management and disciplined capital allocation. The Working Capital Schedule models a structural improvement in inventory turnover, with inventory days aggressively decreasing from 196 days in 2025A to 185 days by 2030F. This assumed efficiency, alongside adjustments for non-cash balances, results in positive working capital add-backs to the UFCF calculation, generating **\$229 million USD** in 2026F and remaining above **\$200 million USD** annually through 2030F.

Simultaneously, cash outflows for Capital Expenditures (CapEx) are strictly controlled. CapEx is forecasted to be **\$302 million USD** in 2026F, gradually scaling to **\$384 million USD** by 2030F. Because these capital investments are modeled consistently lower than the non-cash Depreciation & Amortization (D&A) add-backs (which begin at **\$439 million USD** in 2026F), the firm generates a net positive cash yield from its asset base. While this dynamic supports near-term free cash flow, operating a heavy industrial manufacturing business with CapEx trailing depreciation over a multi-year horizon leaves virtually no room for unexpected facility overhauls or tooling upgrades.

Unlevered Free Cash Flow (UFCF) Profile

The culmination of NOPAT expansion, D&A add-backs, and assumed working capital efficiencies against constrained CapEx produces the following Unlevered Free Cash Flow profile:

UFCF Calculation (\$M)	2026F	2027F	2028F	2029F	2030F
EBIT	\$1,292	\$1,448	\$1,546	\$1,691	\$1,774
Less: Adjusted Operating Taxes	(\$342)	(\$384)	(\$410)	(\$448)	(\$470)
Net Operating Profit After Taxes (NOPAT)	\$950	\$1,065	\$1,136	\$1,243	\$1,304
Add: Depreciation & Amortization	\$439	\$426	\$416	\$409	\$404
Add: Share-Based Expense	\$32	\$32	\$32	\$32	\$32
Less: Capital Expenditure	(\$302)	(\$326)	(\$348)	(\$366)	(\$384)
Add / (Less): Change in working capital	\$229	\$224	\$204	\$204	\$215
Unlevered Free Cash Flow (UFCF)	\$1,348	\$1,421	\$1,440	\$1,522	\$1,572

Our model projects UFCF to reach **\$1,348 million USD** in 2026F, subsequently expanding every year to achieve **\$1,572 million USD** by 2030F. From a strictly operational standpoint, total Cash Flows from Operating Activities are projected to hit **\$2,000 million USD** in 2026F and scale to **\$2,703 million USD** by 2030F, funding the scheduled long-term debt repayments of **\$785 million USD** in 2026F and **\$109 million USD** in 2027F.

Valuation Disconnect

It is critical to recognize that these UFCF outputs represent a "priced-for-perfection" scenario. Generating these cash flows requires Bombardier to achieve uninterrupted inventory efficiency gains, avoid all supply chain capital traps, and maintain CapEx discipline without sacrificing market share. Despite granting the company these flawless operational assumptions, our intrinsic DCF model yields a target price of just **\$227.09 CA\$**. The fact that the equity currently trades at a massive premium to this fundamentally optimized Base Case underscores our underweight stance; the market is essentially pricing in cash conversion metrics that defy the physical realities of heavy aerospace manufacturing.

5.5 Capital Structure Analysis & Deleveraging Profile

Debt Amortization & Interest Expense Reduction

The central pillar of the broader market's bullish thesis on Bombardier is the aggressive deleveraging of its balance sheet. Entering 2026F, the company holds a total long-term debt principal beginning balance of **\$5,154 million USD**. Our financial model explicitly grants management the benefit of the doubt, assuming they will execute all scheduled repayments directly from available cash, retiring **\$785 million USD** in 2026F and a further **\$109 million USD** in 2027F. This proactive debt retirement drops the ending total debt principal to a stabilized **\$4,260 million USD** for the remainder of the forecast period (2027F–2030F).

As principal is retired, the firm structurally lowers its cost of capital. Financing expense is modeled at 10.9% of the debt balance. Driven by the massive **\$785 million USD** paydown modeled for 2026F, the annual gross financing expense drops from **\$521 million USD** in 2026F to **\$472 million USD** in 2027F, ultimately stabilizing at **\$466 million USD** from 2028F through 2030F.

Net Leverage Profile & Transition to Net Cash

The most critical valuation metric for Bombardier's equity re-rating historically has been its Net Debt-to-EBITDA ratio. Closing out 2025A, the firm carried approximately **\$2,979 million USD** in net debt against **\$1,559 million USD** in EBITDA, yielding a leverage ratio of **1.9x**.

Due to the robust **\$1.3+ billion USD** in annual Unlevered Free Cash Flow generation projected in our Base Case, the cash balance expands aggressively from **\$2,175 million USD** in 2025A to **\$11,615 million USD** by 2030F. Combined with the absolute debt reduction and expanding EBITDA (**\$1,731 million USD** in 2026F scaling to **\$2,178 million USD** by 2030F), the leverage profile transforms completely. By the end of 2026F, net leverage plummets to **0.75x**. By 2027F, the modeled cash balance (**\$4,972 million USD**) exceeds the remaining debt principal (**\$4,260 million USD**), transitioning Bombardier into a Net Cash position.

Capital Structure Profile (\$M)	2025A	2026F	2027F	2028F	2029F	2030F
Total Debt Principal	\$5,154	\$4,369	\$4,260	\$4,260	\$4,260	\$4,260
Less: Cash Balance	(\$2,175)	(\$3,067)	(\$4,972)	(\$7,185)	(\$9,317)	(\$11,615)
Net Debt / (Net Cash)	\$2,979	\$1,302	(\$712)	(\$2,925)	(\$5,057)	(\$7,355)
EBITDA	\$1,559	\$1,731	\$1,874	\$1,961	\$2,100	\$2,178
Net Leverage Ratio (x)	1.9x	0.75x	N/A (Cash)	N/A (Cash)	N/A (Cash)	N/A (Cash)
Gross Financing Expense	--	\$521	\$472	\$466	\$466	\$466

Valuation Disconnect & Execution Risk

It is imperative to note that this modeled transition to a Net Cash position by 2027F represents a mathematically optimized, friction-free deleveraging cycle. Our **\$227.09 CA\$** intrinsic target price *already captures* this monumental structural shift.

At the current market price of **\$352.72 CA\$**, equity investors are not only paying a massive premium for this flawless debt paydown, but they are also assuming zero execution risk. If the supply chain bottlenecks or margin compressions detailed in Chapter 4 materialize, the free cash flow engine will stall. A failure to generate the exact liquidity required to retire the **\$785 million USD** maturity in 2026F would force the company to roll over debt in an elevated interest rate environment, shattering the modeled drop in financing expenses and invalidating the transition to a Net Cash position. With the market pricing in absolute perfection, the equity offers no margin of safety against these very real capital structure risks.

6. Valuation & Scenario Analysis

6.1 Discounted Cash Flow (DCF)

Weighted Average Cost of Capital (WACC)

To determine the present value of Bombardier's projected Unlevered Free Cash Flows (UFCF), the model utilizes a **Weighted Average Cost of Capital (WACC) of 9.8%**. This discount rate is derived from the firm's target capital structure, comprising **85.2% equity** and **14.8% debt**.

The **Cost of Equity** is calculated at **10.2%** using the **Capital Asset Pricing Model (CAPM)**:

$$k_e = R_f + \beta \times ERP$$

This framework incorporates a **Risk-Free Rate (Rf)** of **3.56%**, a **levered Beta (β)** of **1.20**, and an **Equity Risk Premium (ERP)** of **5.5%**.

The **pre-tax Cost of Debt** stands at **10.1%**, after applying the statutory **corporate tax rate** of **26.5%**, the effective **after-tax Cost of Debt (Kd)** is **7.4%**.

Terminal Value Formulation

To capture the firm's intrinsic value beyond the five-year discrete forecast period (2026F-2030F), the model employs the Perpetuity Growth Method. A conservative **Terminal Growth Rate of 2.0%** is applied, aligning with long-term macroeconomic inflation expectations and mature industrial GDP growth.

Based on a normalized terminal UFCF of \$1,603 million USD in 2031F, the calculated Terminal Value at year-end of 2030F is **\$20,670 million USD**. When discounted back to the present valuation date, the PV of the Terminal Value represents **\$13,956 million USD**, forming the substantial majority of the firm's Enterprise Value and reflecting the long-term duration of the business.

Enterprise to Equity Value Bridge

The valuation date for the DCF is set to **July 22, 2026**. To accurately reflect the timing of cash flows, a partial-period adjustment of 44.2% is applied to the 2026F UFCF. Summing the present value of the discrete cash flows (**\$5,211 million USD**) and the discounted Terminal Value (**\$13,956 million USD**) establishes the firm's total Enterprise Value (EV) of **\$19,159 million USD**.

From the EV, we deduct the firm's Net Debt to arrive at the Implied Equity Value:

- **Enterprise Value (EV): \$19,159 million USD**
- **Less Net Debt (2025A): (\$2,979 million USD)**
- **Implied Equity Value: \$16,180 million USD**

Target Price & Implied Downside

Translating aggregate Equity Value into an intrinsic per-share baseline:

- Dividing the **\$16,180 million USD** Equity Value across **100.441 million fully diluted shares** outstanding yields an Implied Stock Price of **\$161.09 USD** per share.
- Applying the baseline **1.41 USD/CAD** exchange rate translates the fundamental target price to **\$227.09 CAD** per share.

Valuation Disconnect

When evaluated against the current trading price of **\$352.72 CAD** per share, our Base Case DCF reveals a **35.6% downside**. This mathematical gap confirms that current public equity pricing has decoupled from fundamental cash-generation capability, requiring market assumptions that far exceed realistic operational capacities.

6.2 Perpetuity Growth Rate & Macroeconomic Rationale

The Discounted Cash Flow (DCF) model relies on the Perpetuity Growth Method to calculate Bombardier's Terminal Value at the end of the discrete five-year forecast period (2030F). A terminal growth rate of **2.0%** was selected for the Base Case. This assumption is the fulcrum of the valuation and was strictly chosen to reflect a realistic, mature steady-state for the business beyond 2030.

A 2.0% perpetual growth rate aligns precisely with long-term global macroeconomic anchors. Central banks in Bombardier's primary markets (North America and Europe) target a long-term inflation rate of 2.0%. Assigning a terminal growth rate equal to targeted inflation assumes that, in perpetuity, Bombardier will grow cash flows at the pace of the broader economy without permanently capturing excess market share. Assuming a rate higher than global GDP growth (e.g., 3.0% or higher) would mathematically imply that Bombardier will eventually outgrow the global economy — an aggressive and structurally flawed assumption for a capital-intensive aerospace manufacturer.

Operationally, the model assumes that by 2030, Bombardier will have fully recognized the initial delivery surge from the *Global 8000* entry-into-service and the normalization of post-pandemic business jet demand. Consequently, the firm's growth engine will fundamentally shift from high-volume new aircraft deliveries to a recurring revenue model driven by Aftermarket Services. While Services provide higher margins, they generally grow at a stable, predictable rate tied to the utilization and aging of the existing fleet. A 2.0% terminal growth rate perfectly captures this mature phase, representing a business that maintains its pricing power against inflation while servicing a stabilized, global installed base of aircraft.

The Implied Market Disconnect

This grounded macroeconomic rationale further exposes the severe overvaluation currently present in the public equity markets. To mathematically manipulate our DCF to reach the current **\$352.72 CA\$** trading price, an analyst would be forced to inflate the terminal growth rate well beyond 3.5% to 4.0%. Valuing Bombardier with those parameters implicitly assumes the company will exponentially outpace global economic growth and inflation forever. By anchoring our Base Case to a disciplined 2.0% reality, it becomes clear that the current market premium is built on a structural and mathematical impossibility, reinforcing the high conviction of our underweight stance.

6.3 Multi-Scenario Outputs

To establish a comprehensive valuation range, the financial model evaluates Bombardier's fundamental value across three distinct operational scenarios. These scenarios adjust the core macroeconomic drivers, revenue growth trajectories, and margin realization expectations to provide a definitive valuation boundary.

Applying the **1.41 USD/CAD** exchange rate, the Base Case yields an implied equity value of **\$16,180 million USD**, translating to a target price of **\$227.09 CAD** per share. Crucially, even under the Best-Case scenario — which assumes optimized execution, flawless supply chain recovery, and highly favorable market conditions — the implied share price of **\$305.98 CAD** remains strictly below current market trading levels.

Valuation Scenario	Enterprise Value (\$M USD)	Equity Value (\$M USD)	Implied Price (USD)	Implied Price (CAD)
Best Case	\$24,780	\$21,801	\$217.05	\$305.98
Base Case	\$19,159	\$16,180	\$161.09	\$227.09
Worst Case	\$10,906	\$7,927	\$78.92	\$111.26

Risk/Reward Asymmetry & Final Conclusion

The multi-scenario output highlights a severely toxic risk/reward asymmetry for current equity holders. With the stock trading near **\$352.72 CAD**, investors are effectively paying a massive premium over our Best-Case valuation, offering **0% fundamental upside** even if management executes perfectly. Conversely, if macroeconomic conditions tighten and the firm slips toward our Worst-Case scenario, the equity faces a catastrophic **~68% downside risk (\$111.26 CAD)**.

Because the current market price demands operational perfection while offering zero margin of safety against cyclical aerospace downturns, we establish our high-conviction **SELL / UNDERWEIGHT** recommendation. The mathematical reality of the firm's capital structure and physical capacity limits simply cannot support the current valuation multiple.

6.4 Sensitivity Analysis Matrices

To stress-test the durability of the Base Case valuation, a sensitivity analysis was conducted on the two most highly sensitive Discounted Cash Flow (DCF) parameters: the Weighted Average Cost of Capital (WACC) and the Terminal Growth Rate. The matrix flexes the WACC by ± 200 basis points (ranging from 7.8% to 11.8%) and the Terminal Growth Rate by ± 100 basis points (ranging from 1.0% to 3.0%).

Implied Equity Value per Share (CAD)

The output demonstrates high sensitivity to the discount rate. Holding the Base Case 2.0% terminal growth rate constant, a 100-basis-point compression in the WACC (from 9.8% to 8.8%) increases the implied share price by \$39.46 CAD. Conversely, a 100-basis-point expansion in WACC (from 9.8% to 10.8%) compresses the intrinsic value to \$196.65 CAD.

WACC \ Terminal Growth	1.0%	1.5%	2.0% (Base)	2.5%	3.0%
7.8%	\$275.14	\$295.65	\$319.72	\$348.38	\$383.06
8.8%	\$234.43	\$249.38	\$266.55	\$286.45	\$309.82
9.8% (Base)	\$203.03	\$214.33	\$227.09	\$241.61	\$258.27
10.8%	\$178.08	\$186.86	\$196.65	\$207.63	\$220.02
11.8%	\$157.77	\$164.76	\$172.46	\$181.00	\$190.51

Premium (Discount) to Current Stock Price

Comparing these sensitized outputs to the current market trading price of **\$352.72 CAD** highlights a stark structural disconnect between intrinsic cash flow generation and current market expectations. Out of the 25 scenarios modeled, 24 result in a discount to the current stock price, ranging from a moderate (1.2%) downside to a severe (55.3%) downside.

WACC \ Terminal Growth	1.0%	1.5%	2.0% (Base)	2.5%	3.0%
7.8%	(22.0%)	(16.2%)	(9.4%)	(1.2%)	8.6%
8.8%	(33.5%)	(29.3%)	(24.4%)	(18.8%)	(12.2%)
9.8% (Base)	(42.4%)	(39.2%)	(35.6%)	(31.5%)	(26.8%)
10.8%	(49.5%)	(47.0%)	(44.2%)	(41.1%)	(37.6%)
11.8%	(55.3%)	(53.3%)	(51.1%)	(48.7%)	(46.0%)

Valuation Disconnect & Asymmetry

The single scenario that justifies the current market valuation (+8.6% upside) requires an aggressive combination of a highly compressed 7.8% WACC and an elevated 3.0% perpetual growth rate. This confirms that the public equity market is pricing in near-perfect execution, an artificially low cost of capital, and a perpetual growth rate that exceeds standard macroeconomic inflation targets. Because 96% of the probability matrix points to downward repricing, holding the stock at current levels represents an uncompensated operational risk.

6.5 Relative Trading Ranges & Valuation Football Chart

Comparable Company Analysis

To complement the intrinsic Discounted Cash Flow (DCF) model, a relative valuation was conducted against key public peers in business aviation and defense manufacturing:

- General Dynamics - Gulfstream
- Dassault Aviation - Falcon
- Embraer - Praetor/Phenom
- Textron - Cessna/Beechcraft

Because capital structures vary across aerospace original equipment manufacturers (OEMs), the Enterprise Value to Trailing Twelve Month EBITDA (**EV/EBITDA TTM**) multiple serves as the primary relative metric, supplemented by the Price-to-Earnings (**P/E TTM**) multiple.

Peer Company	Ticker (Exchange)	Share Price (USD)	Enterprise Value	EBITDA (TTM)	EV/EBITDA (TTM)	EPS (TTM)	P/E (TTM)
General Dynamics	GD (NYSE)	\$373.16	\$110,770	\$6,590	16.8x	\$15.18	24.6x
Dassault Aviation	AM (EPA)	\$327.64	\$13,820	\$1,450	9.5x	\$12.52	26.2x
Embraer S.A.	EMBJ (NYSE)	\$66.65	\$12,210	\$716	17.1x	\$1.71	39.0x
Textron Inc.	TXT (NYSE)	\$91.71	\$18,810	\$1,700	11.1x	\$5.23	17.5x
Peer Average					13.6x		
Peer Median					13.9x		
Peer Maximum					17.1x		
Peer Minimum					9.5x		

Target Company Valuation

Applying the benchmark peer group statistics directly to Bombardier's TTM EBITDA of **\$1,640 million USD** yields the implied Enterprise Value spectrum for BBD.B:

Valuation Metrics	Enterprise Value (\$M)	EBITDA (TTM)	EV/EBITDA (TTM)
Average	\$22,328	\$1,640	13.6x
Median	\$22,856	\$1,640	13.9x
Maximum	\$27,967	\$1,640	17.1x
Minimum	\$15,631	\$1,640	9.5x

Football Chart Analysis

Synthesizing the core valuation methodologies provides a clear comparison of Bombardier's **Enterprise Value (EV)** implied across intrinsic, relative, and historical market metrics:

- **DCF Valuation Analysis Range:**

Implies an EV spread between **\$10,906 million USD (*Worst Case*)** and **\$24,780 million USD (*Best Case*)**, centered around a **\$19,159 million USD** for the **Base Case midpoint**.

- **Comparable Trading Analysis Range:**

Establishes an EV spread from **\$15,631 million USD** to **\$27,967 million USD**, with a **\$21,799 million USD** valuation **midpoint**.

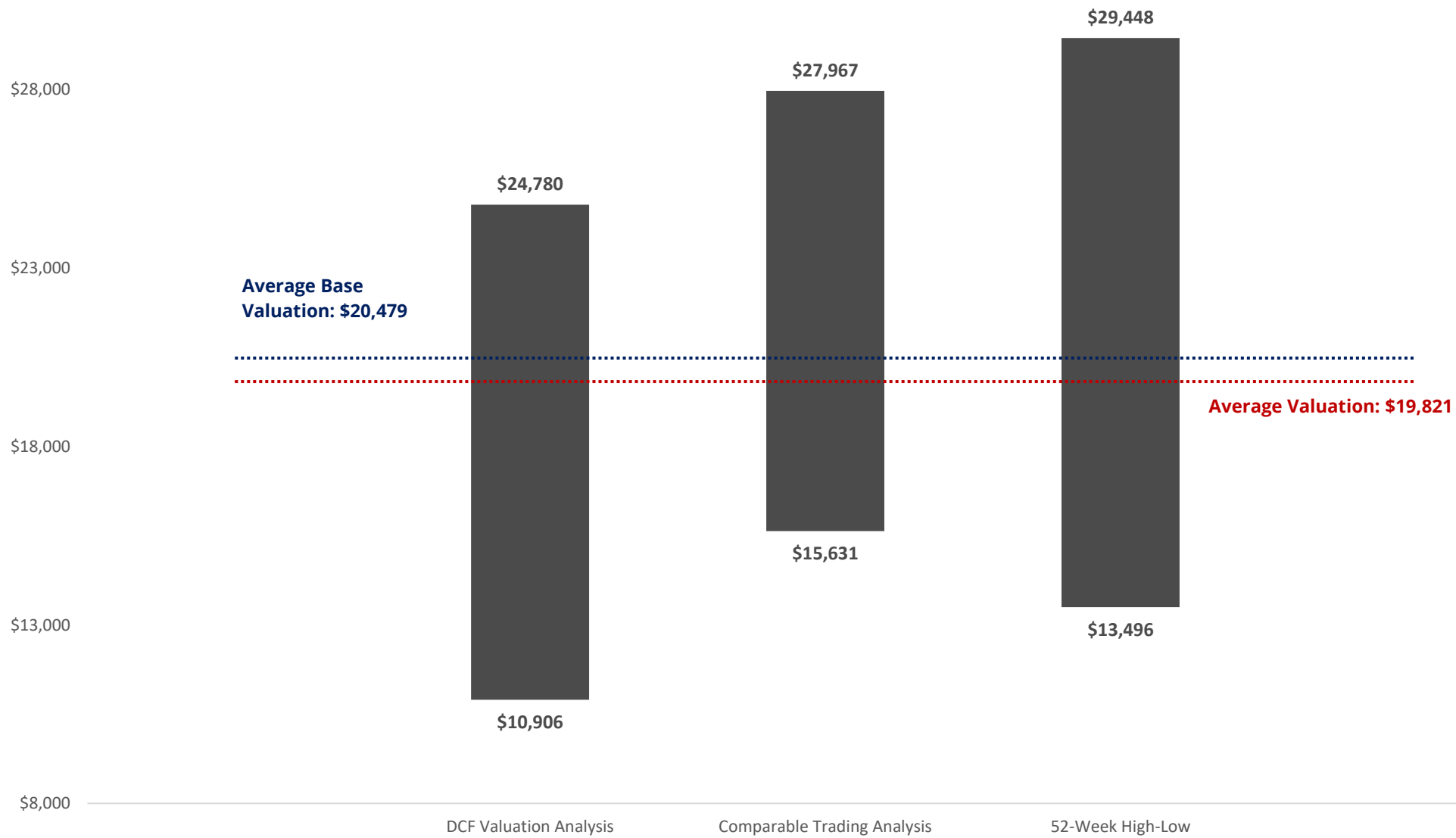
- **52-Week High-Low Market Range:**

Based on Bombardier's **52-week trading bounds** of **CA\$147.61** to **CA\$371.49** per share (at a **1.41 USD/CAD exchange rate**, **100.441 million diluted shares**, and **\$2,979 million USD Net Debt**), the market-implied Enterprise Value spans from **\$13,496 million USD** to **\$29,448 million USD**, with a midpoint of **\$21,472 million USD**.

Key Takeaways

Cross-methodology aggregation establishes an **Average Base Valuation** of **\$20,479 million USD** and an **overall Average Valuation** of **\$19,821 million USD**.

The alignment of these midpoints near the \$20.0 billion USD mark demonstrates the severe structural overvaluation currently present in the equity. While public equity momentum has pushed Bombardier's implied valuation to the absolute upper boundary of its peer group (nearing a \$29.4 billion EV and trading directly at the 17.1x maximum peer multiple), fundamental DCF cash flow generation and baseline relative peer medians indicate that the stock's intrinsic, de-risked value is anchored closer to the \$20.0 billion USD benchmark. Buying the equity at current levels requires an investor to pay absolute peak-cycle multiples for a heavily leveraged manufacturer, offering zero margin of safety and confirming our final **SELL** recommendation.



7. Key Investment Risks

This section addresses the primary catalysts that could cause Bombardier's stock to deviate from our Base Case valuation of **\$227.09 CAD**. While our intrinsic and relative valuations suggest severe downside to current market pricing, institutional models must rigorously test the boundaries of both the upside and the downside.

7.1 Upside Risks to Short Thesis

These catalysts represent potential operational outperformance that could justify the market's current premium valuation, directly threatening our Underweight/Sell thesis.

- **Accelerated Cash Generation:** Bombardier recently raised its 2026 Free Cash Flow (FCF) guidance to greater than **\$1.0 billion USD**, up from a prior range of **\$600 million** to **\$1.0 billion USD**. This was driven by an exceptionally strong **Q1 2026**, which alone generated **\$360 million USD** in FCF. While our Base Case model already credits the firm with **\$1.35 billion USD** in Unlevered Free Cash Flow for 2026F, if Bombardier materially outpaces these aggressive projections, it will accelerate the deleveraging timeline toward a net-cash position faster than modeled, forcing a positive re-rating of the equity.
- **Margin Expansion via Defense & Services:** The company's services business is growing rapidly, with **Q1 2026** services revenues surging **25% year-over-year** to **\$617 million USD**. This aftermarket segment carries structurally higher margins than new aircraft manufacturing. If this revenue mix shift accelerates faster than our modeled **15.0% near-term growth rate**, the blended corporate margin will expand more rapidly than anticipated, easily offsetting R&D costs and triggering further credit upgrades that could lower the firm's cost of capital.
- **Backlog Resilience:** The order book continues to expand, reaching a massive **\$20.3 billion USD** at the end of **Q1 2026** (a **\$2.8 billion USD** increase from year-end 2025). Demand remains particularly robust for the flagship *Global 8000* and from large fleet operators. While susceptible to supply chain execution risks, this deep backlog provides multi-year revenue visibility that could heavily insulate the firm from near-term macroeconomic softening. If this backlog holds firm, it may extend the market's willingness to assign a peak-cycle premium multiple to the stock, delaying the multiple contraction anticipated in our thesis.

7.2 Downside & Execution Risks

These variables encompass internal, company-specific vulnerabilities that could derail management's targets, shatter the "priced-for-perfection" market multiple, and push the stock toward our Worst-Case scenario (**\$111.26 CAD**).

- **Supply Chain & Completions Bottlenecks:** While the broader business jet market expects around 884 total deliveries in 2026, the pace of these deliveries is heavily dictated by supply chain constraints and completions throughput. Bombardier is not immune to these systemic aerospace bottlenecks. Any disruption in critical component sourcing (such as engines or avionics) threatens to trap vital liquidity in unfinished inventory, directly compressing the Unlevered Free Cash Flow margins required to fund debt paydowns.
- **Delivery Target Execution:** Management has reaffirmed 2026 guidance to deliver greater than 157 aircraft. With a **\$20.3 billion USD** backlog, the issue is no longer demand, but pure operational execution. At current trading levels, the market has left zero margin of safety for operational hiccups. Any delays caused by workforce shortages, supplier failures, or factory bottlenecks could force deliveries to slip into subsequent quarters. This would defer critical cash realization, stall the deleveraging narrative, and immediately spook public equity markets, prompting severe multiple contraction.

7.3 Macroeconomic, Interest Rate & Regulatory Risks

These external factors represent systemic threats to the aerospace industry that could compress sector-wide valuations, suppress demand, and elevate Bombardier's cost of capital.

- **Interest Rates & Financing:** The persistence of sticky inflation limits the extent to which central banks will drop long-term rates through 2026. Prolonged elevated interest rates create a double-jeopardy scenario for Bombardier. First, they increase the cost of capital for corporate buyers and fractional ownership fleets, making aircraft financing excessively expensive and threatening to compress future order intake (book-to-bill ratio). Second, if Bombardier fails to meet its internal cash-generation targets, high rates guarantee punitive refinancing costs on its upcoming debt maturities.
- **Geopolitical & Trade Pressures:** International conflicts and shifting trade policies can heavily restrict market access. Sanctions or tariffs on raw materials (like titanium or specialized electronics) directly drive up manufacturing costs and squeeze gross margins. Furthermore, restricted airspaces globally limit the utility and appeal of ultra-long-range flagship jets, potentially softening demand in Bombardier's highest-margin tier.
- **Regulatory Compliance & Certification:** Aerospace is a highly regulated industry. Delays in regulatory approvals from the FAA or EASA for new aircraft platforms or aftermarket modifications can indefinitely freeze revenue recognition. Furthermore, increasing global regulatory pressure regarding aviation emissions could force Bombardier to allocate unanticipated CapEx toward Sustainable Aviation Fuel (SAF) technologies or carbon offset programs, creating an unmodeled drag on the firm's free cash flow profile.

8. Appendix

8.1 Sources & References

To ensure institutional compliance and total auditability, the references below map every primary filing, internal financial schedule, market data feed, and industry report directly to each main section of the report.

Section 1: Executive Summary & Investment Thesis Overview

- **Internal Model:** Bombardier.xlsx
- **Primary Filings & Disclosures:**
 - [Bombardier 2025 Annual Financial Report & Operational Guidance](#)
 - [Bombardier Q1 2026 Earnings & Official Deleveraging Target Disclosures](#)
- **Market & Credit Data:**
 - [TSX: BBD.B Closing Price](#) (July 22, 2026)
 - [Investing.com](#) & [Yahoo Finance](#): Institutional Analyst Consensus Estimates (July 2026)
 - [S&P Global Ratings](#) & [Moody's](#) Credit Rating Disclosures (Ba3/BB- Upgrades, March 2026)

Section 2: Company Profile & Business Segment Overview

- **Internal Model:** Bombardier.xlsx
- **Corporate Filings & Portfolio Specifications:**
 - [Bombardier Aircraft Portfolio](#)
 - [Bombardier Defense](#)
 - [Bombardier Virtual Showroom](#)
 - [Bombardier Official Press Release: "Bombardier Expands Its Manufacturing Footprint in Dorval with \\$100 Million Project"](#) (January 15, 2026)

- **Industry Data & Trade Media:**

[GlobalData: Bombardier Inc. Company Profile & Business Segments \(2026\)](#)

[NetJets: Bombardier Challenger and Global Specifications](#)

[GlobeNewswire: Bombardier Exceeds All 2025 Guidance Metrics](#)

[Skies Magazine: "New orders drive strong Bombardier Q1 financial results"](#)

[Corporate Jet Investor: Bombardier Q1 2026 Earnings](#)

Section 3: Operational Performance & Strategic Execution

- **Internal Model:** Bombardier.xlsx

- **Corporate Press Releases & Call Transcripts:**

[Bombardier Official Press Release: "Bombardier Raises Free Cash Flow Guidance on Sharp Q1 2026 Increase, Records Strong Backlog Growth" \(April 30, 2026\)](#)

[GuruFocus: Bombardier Inc. Q1 2026 Earnings Call Transcript \(April 30, 2026\)](#)

- **Industry Intelligence & Credit Research:**

[Morningstar: Bombardier Inc. \(BBD.A\) Competitive Multiples Analysis vs. Textron Inc. \(July 21, 2026\)](#)

[IATA Press Release: Aerospace Supply Chain Bottlenecks Continue to Constrain Airlines \(December 2025\)](#)

[S&P Global Ratings: Research Update — Bombardier Inc. Outlook Revised \(April 2026\)](#)

[EPlane AI Market Insights: Bombardier Shares Decline Amid Aviation Sector Slowdown and Supply Chain Issues \(March 2026\)](#)

[Corporate Jet Investor: "Bombardier's services revenue surges 25% in record-breaking Q1 as backlog hits \\$20.3bn" \(April 30, 2026\)](#)

Section 4: Industry Dynamics & Competitive Landscape

- **Internal Model:** Bombardier.xlsx

- **Macro Market Sizing & Outlooks:**

[Honeywell Aerospace: 2025 Global Business Aviation Outlook \(October 2025\)](#)

[Fortune Business Insights: Business Jet Market Size, Share & Trends Growth Report \(2024–2030 Projections\)](#)

[Mordor Intelligence: US Business Jet Market Size & Share Outlook to 2031 \(July 2026\)](#)

- **Operational & Supply Chain Reports:**

[Aircraft Owners and Pilots Association \(AOPA\): Business Aviation Utilization & Flight Data \(October 2025\)](#)

[Safe Fly Aviation: Top 5 Business Jet Manufacturers in the World \(2025/2026 Market Share Analysis\)](#)

[AIN Online: Business Aircraft OEMs Fight for Market Share in Europe \(April 2026\)](#)

[IATA: Aviation Supply Chain \(2025\)](#)

[Oliver Wyman: Reviving The Commercial Aircraft Supply Chain](#)

[Aviation Week: 2025 Commercial Fleet and MRO Market Summary Report \(2025\)](#)

[Bombardier Official Press Release: 2025 Full-Year Results & 2026 Guidance \(February 2026\)](#)

Section 5: Financial Analysis & Forecast Drivers

- **Internal Model:** Bombardier.xlsx

- **Corporate Filings & Disclosures:**

[Bombardier Official Press Release: "Bombardier Exceeds All 2025 Guidance Metrics" \(February 2026\)](#)

[Bombardier Official Press Release: 2025 Full-Year Results & Forward Guidance](#)

[Bombardier Official Announcement: Notice of Senior Notes Redemption](#)

- **Regulatory & Credit Rating Data:**

[Moody Private Client: Statutory Corporate Tax Basis Disclosures](#)

[S&P Global Ratings & Moody's Rating Reports \(Ba3/BB- Credit Upgrades\)](#)

Section 6: Valuation & Scenario Analysis

- **Internal Model:** Bombardier.xlsx

- **Macroeconomic Anchors:**

[Bank of Canada Long-Term Inflation Target Disclosures](#)

- **Market Pricing & Peer Feeds:**

[TSX: BBD.B Market Data](#) and USD/CAD Benchmark FX Rates (July 22, 2026)

Public Equity Pricing Feeds: [General Dynamics \(NYSE: GD\)](#), [Dassault Aviation \(EPA: AM\)](#), [Embraer S.A. \(NYSE: ERJ\)](#), and [Textron Inc. \(NYSE: TXT\)](#)

Section 7: Key Investment Risks

- **Internal Model:** Bombardier.xlsx

- **Corporate & Guidance Disclosures:**

[Bombardier Q1 2026 Earnings Release](#)

Bombardier 2026 Forward Aircraft Delivery Guidance

- **Industry & Regulatory Frameworks:**

[IATA: Aviation Supply Chain \(2025\)](#)

[Oliver Wyman: Reviving The Commercial Aircraft Supply Chain](#)

Global Interest Rate Yield Curves & Monetary Policy Outlooks

[Federal Aviation Administration \(FAA\)](#)

[EASA Aircraft Certification Guidelines](#)

8.2 Integrated Financial Model



Bombardier

Equity Research Report

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[Outputs](#)

[Inputs](#)

[Model](#)

Model Checks

Unused Tax Losses Remaining?

Yes

Balanced Sheet Unbalanced?

No

Model Circularity

Model Circularity

On



This model now has the circularity turned on. Please confirm the Excel settings below

PC File - Options - Formulas - Check the box on the top-right labeled 'Enable iterative calculation'.

Mac Excel - Preferences - Calculation - Check the box near the bottom labeled 'Use iterative calculation'.

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Actual financial outcomes for Bombardier Inc. may differ materially from the expectations outlined in this model.

The author accepts no liability — legal, financial, direct, or indirect — for any loss or damage arising from the use of this report, its financial models, or its qualitative content. Readers are strongly advised to conduct their own independent assessments and consult registered professional advisors before making any real-world investment decisions. Past market performance and historical equity multiples are not necessarily indicative of future market results.

All figures in USD millions unless stated

Model Running: Base Case Drivers

Driver Switch Base Case ▼

Implied Share Price (CAD) **227.09**
Implied Return **(35.6%)**

INCOME STATEMENT

	2023A	2024A	2025A	2026F	2027F	2028F	2029F	2030F
Revenue	8,046	8,665	9,551	10,418	11,228	11,984	12,619	13,236
YoY Growth %		7.7%	10.2%	9.1%	7.8%	6.7%	5.3%	4.9%
EBITDA	1,230	1,360	1,559	1,731	1,874	1,961	2,100	2,178
EBITDA Margin	15.3%	15.7%	16.3%	16.6%	16.7%	16.4%	16.6%	16.5%
Net Income	445	370	928	1,075	1,388	1,597	1,863	2,051
Net Income Margin	5.5%	4.3%	9.7%	10.3%	12.4%	13.3%	14.8%	15.5%

CASH FLOW STATEMENT

Operating	623	405	1,225	2,000	2,360	2,582	2,518	2,703
Investing	156	(124)	(154)	(302)	(326)	(348)	(366)	(384)
Financing	(438)	(203)	(512)	(806)	(130)	(21)	(21)	(21)
Change in Cash	341	78	559	892	1,904	2,214	2,131	2,298

BALANCE SHEET

Total Debt	5,607	5,545	5,154	4,369	4,260	4,260	4,260	4,260
Cash & Cash Equivalents	1,594	1,653	2,175	3,067	4,972	7,185	9,317	11,615
Net Debt	4,013	3,892	2,979	1,302	(712)	(2,925)	(5,057)	(7,355)
Net Leverage	3.3x	2.9x	1.9x	0.8x	(0.4x)	(1.5x)	(2.4x)	(3.4x)

VALUATION DRIVERS & OPERATIONS

Total Deliveries	(Units)	138	146	157	165	172	178	182	185
Unlevered Free Cash Flow					1,348	1,421	1,440	1,522	1,572
UFCF Conversion					77.9%	75.8%	73.4%	72.5%	72.2%
Tax Loss Carryforward Balance				8,040	7,276	6,245	5,035	3,602	2,013

Drivers

All figures in USD millions unless stated

Driver Switch

Base Case



Total Deliveries

Best Case

Base Case

Worst Case

Pricing Increases

Best Case

Base Case

Worst Case

Services Growth

Best Case

Base Case

Worst Case

COGS Margin %

Best Case

Base Case

Worst Case

Capital Expenditure Margin (% of Revenue)

Best Case

Base Case

Worst Case

	2026F	2027F	2028F	2029F	2030F
Total Deliveries	165	172	178	182	185
Best Case	170	180	190	195	200
Base Case	165	172	178	182	185
Worst Case	150	145	140	140	145
Pricing Increases	2.0%	2.0%	2.0%	2.0%	2.0%
Best Case	3.5%	3.5%	3.5%	3.0%	3.0%
Base Case	2.0%	2.0%	2.0%	2.0%	2.0%
Worst Case	–	(1.0%)	–	1.0%	1.0%
Services Growth	15.0%	12.0%	10.0%	8.0%	8.0%
Best Case	22.0%	18.0%	15.0%	12.0%	10.0%
Base Case	15.0%	12.0%	10.0%	8.0%	8.0%
Worst Case	8.0%	5.0%	5.0%	3.0%	3.0%
COGS Margin %	79.5%	79.0%	79.0%	78.5%	78.5%
Best Case	79.0%	78.0%	77.5%	77.0%	77.0%
Base Case	79.5%	79.0%	79.0%	78.5%	78.5%
Worst Case	81.0%	81.5%	82.0%	82.0%	82.5%
Capital Expenditure Margin (% of Revenue)	2.9%	2.9%	2.9%	2.9%	2.9%
Best Case	2.6%	2.6%	2.6%	2.6%	2.6%
Base Case	2.9%	2.9%	2.9%	2.9%	2.9%
Worst Case	3.5%	3.5%	3.5%	3.5%	3.5%

Other Inputs

All figures in USD millions unless stated

Working Capital

Trade And Other Receivables	(Days)
Inventories	(Days)
Trade And Other Payables	(Days)

Other Annual Inputs

Inflation Rate	
Term Debt	Increase / (Decrease)

Financing Rates & Other Single Inputs

Dividend Payout Ratio	-
Cash Balances Rate	3.0%
Long Term Debt (Total Debt/Financing Expense 2025)	10.9%
Revolving Credit Line Rate	-

Asset Allocation (As of 2025A)

Total Long-Term Assets	4,421
PP&E Allocation	30.6%
Tooling Allocation	69.4%
PP&E Depreciation	142
Tooling Amortization	322

Valuation as of 22/07/2026

Shares Outstanding	(FD 000)	100,441
Current Stock Price	(CA\$/sh)	352.72
USD/CAD Exchange Rate		1.41
Current Stock Price	(US\$/sh)	250.21
Terminal Growth Rate		2.0%
Weighted Average Cost of Capital (WACC)		9.8%
Terminal Growth Greater Than or Equal To WACC?		No

Cost of Equity & Debt

Risk Free Rate	3.56%
Beta (β)	1.20
Equity Risk Premium	5.5%
Cost of Equity	10.2%
Pre-Tax Cost of Debt	10.1%
Tax Rate	26.5%
After-Tax Cost of Debt	7.4%

2026F	2027F	2028F	2029F	2030F
16	16	16	16	16
194	192	190	188	185
76	76	76	76	76

3.5%	3.0%	3.0%	2.5%	2.5%
(785)	(109)	-	-	-

Taxes

Tax Rate	26.5%
Blended Tax Depreciation Rate	15%

Fixed Operating Assumptions

SG&A Margin %	5.3%
R&D Margin %	2.8%

Book Depreciation Rates (As of 2025A)

Total Amortization	464
PP&E Depreciation Rate	10.5%
Tooling Amortization Rate	9.7%

Industry Specific Rates

Contract Assets (% of Revenue)	1.6%
Current Contract Liabilities (% of Revenue)	36.0%
Non-Current Contract Liabilities (% of Revenue)	15.2%

Dates

Valuation Date	(YY-MM-DD)	2026/07/22
First Expected Cash Flow	(YY-MM-DD)	2026/10/11
First Fiscal Year End for Forecast	(YY-MM-DD)	2026/12/31
First Year of Forecast	(YYYY)	2026
Incorrect Date Set for Valuation?		No
Incorrect Date Set for First Cash Flow?		No
Days in Period		365

Income Statement

All figures in USD millions unless stated

Model Running: Base Case Drivers

	2023A	2024A	2025A	2026F	2027F	2028F	2029F	2030F
Revenue	8,046	8,665	9,551	10,418	11,228	11,984	12,619	13,236
COGS	6,415	6,880	7,640	8,283	8,870	9,467	9,906	10,390
Gross Profit	1,631	1,785	1,911	2,136	2,358	2,517	2,713	2,846
Gross Margin %	20.3%	20.6%	20.0%	20.5%	21.0%	21.0%	21.5%	21.5%
SG&A	447	478	506	552	595	635	669	702
R&D	373	361	271	292	314	336	353	371
Other Expenses (Income)	15	63	39	-	-	-	-	-
Restructing Charges (Reversals)	1	3	(13)	-	-	-	-	-
Loss (Gain) Related To Disposal Of Business	(81)	-	(1)	-	-	-	-	-
Impairment And Program Termination (Reversals)	83	2	1	-	-	-	-	-
EBIT	793	878	1,108	1,292	1,448	1,546	1,691	1,774
EBIT Margin %	9.9%	10.1%	11.6%	12.4%	12.9%	12.9%	13.4%	13.4%
Financing Expense	594	677	564	521	472	466	466	466
Financing Income	(202)	(55)	(291)	(79)	(121)	(182)	(248)	(314)
EBT	401	256	835	849	1,097	1,262	1,472	1,621
Income Taxes (Recovery)	(89)	(114)	(140)	(225)	(291)	(334)	(390)	(430)
Net Income (Loss) From Continuing Operations	490	370	975	1,075	1,388	1,597	1,863	2,051
Net Income (Loss) From Discontinued Operations	(45)	-	(47)	-	-	-	-	-
Net Income	445	370	928	1,075	1,388	1,597	1,863	2,051

Cash Flow Statement

All figures in USD millions unless stated

Model Running: Base Case Drivers

	2023A	2024A	2025A	2026F	2027F	2028F	2029F	2030F
Operating Activities								
Net Income (Loss) From Continuing Operations	490	370	975	1,075	1,388	1,597	1,863	2,051
Net Income (Loss) From Discontinued Operations	(45)	-	(47)	-	-	-	-	-
Amortization	431	445	464	439	426	416	409	404
Impairment Charges On Intangible Assets	73	2	(7)	-	-	-	-	-
Deferred Income Taxes (Recovery)	(105)	(179)	(217)	225	291	334	11	-
Losses On Disposals Of PP&E	1	-	-	-	-	-	-	-
Share-Based Expense	24	23	32	32	32	32	32	32
Losses On Repayments Of Long-Term Debt	54	127	81	-	-	-	-	-
Netchange In Non-Cash Balances	(300)	(383)	(56)	229	224	204	204	215
Cash Flows From Operating Activities - Total	623	405	1,225	2,000	2,360	2,582	2,518	2,703
Cash Flows From Operating Activities - Discontinued Operations	-	-	-	-	-	-	-	-
Cash Flows From Operating Activities - Continuing Operations	623	405	1,225	2,000	2,360	2,582	2,518	2,703
Investing Activities								
Additions To PP&E And Intangible Assets	(366)	(173)	(154)	(302)	(326)	(348)	(366)	(384)
Changes To Restricted Cash	390	24	1	-	-	-	-	-
Sale Of Investments In Securities	133	29	3	-	-	-	-	-
Other	(39)	(24)	(39)	-	-	-	-	-
Cash Flows From Investing Activities - Total	118	(144)	(189)	(302)	(326)	(348)	(366)	(384)
Cash Flows From Investing Activities - Discontinued Operations	(38)	(20)	(35)	-	-	-	-	-
Cash Flows From Investing Activities - Continuing Operations	156	(124)	(154)	(302)	(326)	(348)	(366)	(384)
Financing Activities								
Net Proceeds From Issuance Of Long-Term Debt	1,478	1,476	747	-	-	-	-	-
Repayments Of Long-Term Debt	(1,903)	(1,599)	(1,167)	(785)	(109)	-	-	-
Payments Of Lease Liabilities	(36)	(32)	(30)	-	-	-	-	-
Dividends Paid - Preferred Shares	(22)	(22)	(21)	(21)	(21)	(21)	(21)	(21)
Repurchase Of Class B Shares	(4)	(6)	(14)	-	-	-	-	-
Issuance Of Class B Shares	69	16	6	-	-	-	-	-
Purchase Of Class B Shares Held In Trust Under The PSU And RSU Plans	(20)	(16)	(30)	-	-	-	-	-
Other	-	(20)	(3)	-	-	-	-	-
Cash Flows From Financing Activities - Total	(438)	(203)	(512)	(806)	(130)	(21)	(21)	(21)
Cash Flows From Financing Activities - Discontinued Operations	-	-	-	-	-	-	-	-
Cash Flows From Financing Activities - Continuing Operations	(438)	(203)	(512)	(806)	(130)	(21)	(21)	(21)
Effect Of Exchange Rates On Cash And Cash Equivalents	-	1	(2)	-	-	-	-	-
Net Increase In Cash And Cash Equivalents	303	59	522	892	1,904	2,214	2,131	2,298
Cash And Cash Equivalents At Beginning Of Year	1,291	1,594	1,653	2,175	3,067	4,972	7,185	9,317
Cash And Cash Equivalents At End Of Year	1,594	1,653	2,175	3,067	4,972	7,185	9,317	11,615

Balance Sheet

All figures in USD millions unless stated

Model Running: Base Case Drivers

	2023A	2024A	2025A	2026F	2027F	2028F	2029F	2030F
ASSETS								
Cash And Cash Equivalents	1,594	1,653	2,175	3,067	4,972	7,185	9,317	11,615
Trade And Other Receivables	258	334	427	457	492	525	553	580
Contract Assets	84	138	157	171	185	197	207	218
Inventories	3,768	4,045	4,104	4,402	4,666	4,928	5,102	5,266
Other Financial Assets	97	30	80	80	80	80	80	80
Other Assets	133	177	173	173	173	173	173	173
Current Assets	5,934	6,377	7,116	8,350	10,567	13,089	15,433	17,932
Property Plant & Equipment - PP&E	1,375	1,353	1,355	1,305	1,268	1,241	1,223	1,212
Aerospace Program Tooling	3,566	3,324	3,066	2,979	2,916	2,875	2,850	2,841
Deferred Income Taxes	455	680	861	636	345	11	-	-
Other Financial Assets	757	573	752	752	752	752	752	752
Other Assets	371	361	415	415	415	415	415	415
Non-Current Assets	6,524	6,291	6,449	6,087	5,696	5,294	5,240	5,220
Total Assets	12,458	12,668	13,565	14,437	16,263	18,382	20,673	23,151
LIABILITIES								
Trade And Other Payables	1,820	1,792	1,597	1,725	1,847	1,971	2,063	2,163
Provisions	78	49	47	47	47	47	47	47
Contract Liabilities	3,455	2,964	3,442	3,755	4,046	4,319	4,548	4,770
Current Portion Of Long-Term Debt	-	299	607	109	-	-	-	-
Other Financial Liabilities	148	204	149	149	149	149	149	149
Other Liabilities	437	465	549	549	549	549	549	549
Current Liabilities	5,938	5,773	6,391	6,333	6,638	7,035	7,355	7,679
Provisions	90	98	83	83	83	83	83	83
Contract Liabilities	1,209	1,347	1,448	1,579	1,702	1,817	1,913	2,007
Long-Term Debt	5,607	5,246	4,547	4,260	4,260	4,260	4,260	4,260
Retirement Benefits	803	624	523	523	523	523	523	523
Other Financial Liabilities	972	881	784	784	784	784	784	784
Other Liabilities	243	690	678	678	678	678	678	678
Non-Current Liabilities	8,924	8,886	8,063	7,907	8,030	8,145	8,241	8,335
Total Liabilities	14,862	14,659	14,454	14,241	14,668	15,180	15,597	16,013
EQUITY (Deficit)								
Attributable To Equity Holders Of Bombardier Inc.	(2,404)	(1,991)	(889)	197	1,595	3,203	5,076	7,138
Total Liabilities & Equity	12,458	12,668	13,565	14,437	16,263	18,382	20,673	23,151
Check	-	-	-	-	-	-	-	-

Revenue & Delivery Schedule

All figures in USD millions unless stated

Model Running: Base Case Drivers

OPERATIONS

	2023A	2024A	2025A	2026F	2027F	2028F	2029F	2030F
Price Increases		(0.5%)	1.6%	2.0%	2.0%	2.0%	2.0%	2.0%
Projected Deliveries				165	172	178	182	185
Services Revenue Growth		16.5%	13.2%	15.0%	12.0%	10.0%	8.0%	8.0%

VOLUME

Deliveries - Medium	(Units/Year)	63	73	71				
Deliveries - Large	(Units/Year)	75	73	86				
Total Deliveries	(Units/Year)	138	146	157	165	172	178	182

REVENUE

Implied Manufacturing Revenue/Aircraft	45.638	45.404	46.153	47.076	48.017	48.978	49.957	50.956
Manufacturing Revenue	6,298	6,629	7,246	7,768	8,259	8,718	9,092	9,427
Service Revenue	1,748	2,036	2,305	2,651	2,969	3,266	3,527	3,809
Total Revenue	8,046	8,665	9,551	10,418	11,228	11,984	12,619	13,236
Services Revenue Margin %	21.7%	23.5%	24.1%	25.4%	26.4%	27.3%	27.9%	28.8%
Total Revenue Growth		7.7%	10.2%	9.1%	7.8%	6.7%	5.3%	4.9%

Cost Schedule

All figures in USD millions unless stated

Model Running: Base Case Drivers

OPERATING COSTS

	2023A	2024A	2025A	2026F	2027F	2028F	2029F	2030F
Revenue	8,046	8,665	9,551	10,418	11,228	11,984	12,619	13,236
COGS Margin %	79.7%	79.4%	80.0%	79.5%	79.0%	79.0%	78.5%	78.5%
SG&A Margin %	5.6%	5.5%	5.3%	5.3%	5.3%	5.3%	5.3%	5.3%
R&D Margin %	4.6%	4.2%	2.8%	2.8%	2.8%	2.8%	2.8%	2.8%
COGS	6,415	6,880	7,640	8,283	8,870	9,467	9,906	10,390
SG&A Expense	447	478	506	552	595	635	669	702
R&D Expense	373	361	271	292	314	336	353	371
Total Operating Expenses	7,235	7,719	8,417	9,126	9,779	10,438	10,928	11,462

EBITDA CALCULATION

EBIT				1,292	1,448	1,546	1,691	1,774
Add: D&A				439	426	416	409	404
EBITDA	1,230	1,360	1,559	1,731	1,874	1,961	2,100	2,178
EBITDA Margin %	15.3%	15.7%	16.3%	16.6%	16.7%	16.4%	16.6%	16.5%

* COGS SG&A and R&D Expenses are forecasted as a percentage of revenue due to lack of specific cast breakdown in financial reports

Working Capital Schedule

All figures in USD millions unless stated

Model Running: Base Case Drivers

	2023A	2024A	2025A	2026F	2027F	2028F	2029F	2030F
Days in Period	365	365	365	365	365	365	365	365
Revenue	8,046	8,665	9,551	10,418	11,228	11,984	12,619	13,236
COGS	6,415	6,880	7,640	8,283	8,870	9,467	9,906	10,390

AMOUNTS PER DAY

Trade And Other Receivables	(Days)	12	14	16	16	16	16	16
Inventories	(Days)	214	215	196	194	192	190	185
Trade And Other Payables	(Days)	104	95	76	76	76	76	76

TOTAL AMOUNTS

Trade And Other Receivables	258	334	427	457	492	525	553	580
Inventories	3,768	4,045	4,104	4,402	4,666	4,928	5,102	5,266
Trade And Other Payables	1,820	1,792	1,597	1,725	1,847	1,971	2,063	2,163

CASH CHANGES

Trade And Other Receivables	(76)	(93)	(30)	(35)	(33)	(28)	(27)
Inventories	(277)	(59)	(298)	(264)	(262)	(174)	(164)
Trade And Other Payables	(28)	(195)	128	122	124	91	101
Cash from Working Capital Items	(381)	(347)	(200)	(177)	(171)	(111)	(90)

Contract Assets (% of Revenue)	1.0%	1.6%	1.6%	1.6%	1.6%	1.6%	1.6%	1.6%
Current Contract Liabilities (% of Revenue)	42.9%	34.2%	36.0%	36.0%	36.0%	36.0%	36.0%	36.0%
Non-Current Contract Liabilities (% of Revenue)	15.0%	15.5%	15.2%	15.2%	15.2%	15.2%	15.2%	15.2%

Long-Term Asset & Tax Basis Schedule

All figures in USD millions unless stated

Model Running: Base Case Drivers

	2025A	2026F	2027F	2028F	2029F	2030F
Revenue		10,418	11,228	11,984	12,619	13,236
Capital Expenditure (% of Revenue)		2.9%	2.9%	2.9%	2.9%	2.9%
Capital Expenditure		302	326	348	366	384

Total Long-Term Assets	4,421
PP&E Allocation	30.6%
Tooling Allocation	69.4%
Blended Tax Depreciation Rate	15.0%
Total Amortization (As of 2025)	464
PP&E Depreciation Rate	10.5%
Tooling Amortization Rate	9.7%

PROPERTY PLANT & EQUIPMENT

Beginning	1,355	1,305	1,268	1,241	1,223
Add: Capital Expenditure	93	100	107	112	118
Less: PP&E Depreciation	(142)	(137)	(133)	(130)	(129)
Ending	1,355	1,305	1,268	1,241	1,223

AEROSPACE TOOLING

Beginning	3,066	2,979	2,916	2,875	2,850
Add: Tooling Additions	210	226	241	254	266
Less: Tooling Amortization	(297)	(288)	(282)	(278)	(276)
Ending	3,066	2,979	2,916	2,875	2,841

TOTAL D&A EXPENSE

439	426	416	409	404
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TAX BASIS

Beginning	3,500	3,277	3,111	2,992	2,909
Add: Capital Expenditure	302	326	348	366	384
Less: Accelerated Tax Depreciation	(525)	(492)	(467)	(449)	(436)
Ending	3,500	3,277	3,111	2,992	2,857

BOOK VS. TAX DEPRECIATION DIFFERENCE

(86)	(66)	(51)	(40)	(32)
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Income Tax Schedule

All figures in USD millions unless stated

Model Running: Base Case Drivers

	2025A	2026F	2027F	2028F	2029F	2030F
Earnings Before Tax (EBT)		849	1,097	1,262	1,472	1,621
Profitable Before Taxes?		Yes	Yes	Yes	Yes	Yes
Tax Rate	26.5%					
Unused Tax Losses Remaining?	Yes					
ADJUSTMENT FOR DEPRECIATION						
EBT		849	1,097	1,262	1,472	1,621
Add: Accounting Depreciation		439	426	416	409	404
Less: Tax Depreciation		(525)	(492)	(467)	(449)	(436)
EBT After Adjustment		764	1,031	1,211	1,432	1,590
ADJUSTMENT FOR TAX LOSSES *						
EBT After Adjustment		764	1,031	1,211	1,432	1,590
Less: Use of Tax Losses **		(764)	(1,031)	(1,211)	(1,432)	(1,590)
Taxable Income		0	-	0	0	0
TAX LOSSES						
Beginning		8,040	7,276	6,245	5,035	3,602
Add: New Losses		-	-	-	-	-
Less: Use of Tax Losses		(764)	(1,031)	(1,211)	(1,432)	(1,590)
Ending	8,040	7,276	6,245	5,035	3,602	2,013
TAXES						
Current Taxes		0	-	0	0	0
Deferred Taxes		225	291	334	390	430
Total Taxes		225	291	334	390	430

*This schedule assumes that tax losses can be carried forward indefinitely into the future.

**This schedule assumes losses do not carry back to previous periods to reduce taxable income.

Debt Schedule: Part 1

All figures in USD millions unless stated

Model Running: Base Case Drivers

CASH

		2025A	2026F	2027F	2028F	2029F	2030F
Beginning Balance			2,175	3,067	4,972	7,185	9,317
Increase / (Decrease)			892	1,904	2,214	2,131	2,298
Ending Balance		2,175	3,067	4,972	7,185	9,317	11,615
Financing Expense	Circularity		3.0%	3.0%	3.0%	3.0%	3.0%
Financing Income	On		79	121	182	248	314

LONG TERM DEBT

Total Debt Principal - Beginning Balance			5,154	4,369	4,260	4,260	4,260
Less: Scheduled Repayments & Redemptions			(785)	(109)	-	-	-
Total Debt Principal - Ending Balance		5,154	4,369	4,260	4,260	4,260	4,260
Financing Expense		10.9%	10.9%	10.9%	10.9%	10.9%	10.9%
Financing Income			521	472	466	466	466

Debt Schedule: Part 2

All figures in USD millions unless stated

Model Running: Base Case Drivers

AVAILABLE CASH

	2025A	2026F	2027F	2028F	2029F	2030F
Beginning Cash Balance		2,175	3,067	4,972	7,185	9,317
Cash from Operations		2,000	2,360	2,582	2,518	2,703
Cash from Investing		(302)	(326)	(348)	(366)	(384)
Change in Long-Term Debt		(785)	(109)	-	-	-
Change in Common Equity		1,086	1,399	1,608	1,874	2,062
Dividends		(21)	(21)	(21)	(21)	(21)
Cash Available for Revolving Credit Line		4,153	6,370	8,793	11,190	13,677

REVOLVING CREDIT LINE

Beginning Balance		-	-	-	-	-
Increase / (Decrease)		-	-	-	-	-
Ending Balance		-	-	-	-	-
Financing Expense		-	-	-	-	-
Financing Income		-	-	-	-	-

Circularity

On

Financing Expense	521	472	466	466	466
Less: Financing Income	(79)	(121)	(182)	(248)	(314)
Net Financing Expense	442	352	284	219	152

All figures in USD millions unless stated
Model Running: Base Case Drivers

COMMON EQUITY

	2025A	2026F	2027F	2028F	2029F	2030F
Beginning Balance		(889)	197	1,595	3,203	5,076
Increase / (Decrease)		1,086	1,399	1,608	1,874	2,062
Ending Balance	(889)	197	1,595	3,203	5,076	7,138
Net Income		1,075	1,388	1,597	1,863	2,051
Payout Ratio		-	-	-	-	-
Dividend		21	21	21	21	21

Unlevered Free Cash Flow Schedule

All figures in USD millions unless stated

Model Running: Base Case Drivers

Tax Rate	26.5%
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UFCF Calculation

	2025A	2026F	2027F	2028F	2029F	2030F
EBIT		1,292	1,448	1,546	1,691	1,774
Less: Adjusted Operating Taxes		(342)	(384)	(410)	(448)	(470)
Net Operating Profit After Taxes (NOPAT)		950	1,065	1,136	1,243	1,304
Add: Depreciation & Amortization		439	426	416	409	404
Add: Share-Based Expense		32	32	32	32	32
Less: Capital Expenditure		(302)	(326)	(348)	(366)	(384)
Add / (Less): Change in working capital		229	224	204	204	215
Unlevered Free Cash Flow (UFCF)		1,348	1,421	1,440	1,522	1,572

Weighted Average Cost of Capital (WACC)

All figures in USD millions unless stated

Model Running: Base Case Drivers

Shares Outstanding	(FD 000)	100,441
Current Stock Price	(US\$/sh)	250.21
Market Value of Equity (E)		25,131
Total Debt (D)		4,369
Market Capitalization		29,500
Weight of Equity %		85.2%
Weight of Debt %		14.8%

Cost of Equity

Risk Free Rate	3.56%
Beta (β)	1.20
Equity Risk Premium	5.5%
Cost of Equity	10.2%

Cost of Debt

Pre-Tax Cost of Debt	10.1%
Tax Rate	26.5%
After-Tax Cost of Debt	7.4%

Weighted Average Cost of Capital

Weighted Average Cost of Capital - WACC	9.8%
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All figures in USD millions unless stated
Model Running: Base Case Drivers

WACC	9.8%
Terminal Growth Rate	2.0%

Fiscal Year End
Cash Flow Timing

	2026F	2027F	2028F	2029F	2030F	TERM
Valuation	Discrete Forecast					Term
(YY-MM-DD)	(YY-MM-DD)	(YY-MM-DD)	(YY-MM-DD)	(YY-MM-DD)	(YY-MM-DD)	(YY-MM-DD)
26/07/22	26/12/31	27/12/31	28/12/31	29/12/31	30/12/31	31/12/31
26/07/22	26/10/11	27/10/11	28/10/11	29/10/11	30/10/11	31/10/11

Unlevered Free Cash Flow

-	1,348	1,421	1,440	1,522	1,572	1,603
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UNADJUSTED CASH FLOW

Discrete Forecast
Terminal Value
Total Cash Flow

-	1,348	1,421	1,440	1,522	1,572	
-	-	-	-	-	20,670	
-	1,348	1,421	1,440	1,522	22,242	

ADJUSTED CASH FLOW

Partial Period Adjustment

-	44.2%	100.0%	100.0%	100.0%	100.0%	
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Discrete Forecast
Terminal Value
Total Cash Flow

-	595	1,421	1,440	1,522	1,572	
-	-	-	-	-	20,670	
-	595	1,421	1,440	1,522	22,242	

DISCOUNTED CASH FLOW

Years for Discounting

-	0.22	1.22	2.22	3.22	4.22	
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Discrete Forecast
Terminal Value
Total Cash Flow

-	583	1,268	1,171	1,128	1,061	
-	-	-	-	-	13,956	
-	583	1,268	1,171	1,128	15,017	

ENTERPRISE VALUE	19,159
NET DEBT	2,979
EQUITY VALUE	16,180

Shares Outstanding	(FD 000)	100,441
Implied Stock Price	(US\$/sh)	161.09
USD/CAD Exchange Rate		1.41
Implied Stock Price	(CA\$/sh)	227.09
Current Stock Price	(CA\$/sh)	352.72
Implied Upside / (Downside)		(35.6%)



Comparable Trading Analysis

All figures in USD millions unless stated

Model Running: Base Case Drivers

Peer Companies	Stock Exchange	Ticker	Share Price (USD/sh)	Enterprise Value	EBITDA (TTM)	EV / EBITDA (TTM)	EPS (TTM)	P / E (TTM)
General Dynamics Corporation	(NYSE)	GD	373.16	110,770	6,590	16.8x	15.18	24.6x
Dassault Aviation S.A.	(EPA)	AM	327.64	13,820	1,450	9.5x	12.52	26.2x
Embraer S.A.	(NYSE)	EMBJ	66.65	12,210	716	17.1x	1.71	39.0x
Textron Inc.	(NYSE)	TXT	91.71	18,810	1,700	11.1x	5.23	17.5x

Target Company Valuation

Bombardier Inc	(TSE)	BBD.B	Enterprise Value	EBITDA (TTM)	EV / EBITDA (TTM)
Average			22,328	1,640	13.6x
Median			22,856	1,640	13.9x
Maximum			27,967	1,640	17.1x
Minimum			15,631	1,640	9.5x

Sensitivity Analysis

All figures in USD millions unless stated

Model Running: Base Case Drivers

Driver Switch

Base Case ▼

Main Outputs

	Enterprise Value	Equity Value	Equity Per Share
Best Case	24,780	21,801	217.05
Base Case	19,159	16,180	161.09
Worst Case	10,906	7,927	78.92

Enterprise Value

	Terminal Growth Rate				
	1.0%	1.5%	2.0%	2.5%	3.0%
WACC 7.8%	22,583	24,044	25,759	27,801	30,272
8.8%	19,682	20,747	21,970	23,389	25,054
9.8%	17,445	18,250	19,159	20,193	21,381
10.8%	15,667	16,293	16,991	17,773	18,655
11.8%	14,220	14,718	15,267	15,875	16,553

Equity Value

	Terminal Growth Rate				
	1.0%	1.5%	2.0%	2.5%	3.0%
WACC 7.8%	19,604	21,065	22,780	24,822	27,293
8.8%	16,703	17,768	18,991	20,410	22,075
9.8%	14,466	15,271	16,180	17,214	18,402
10.8%	12,688	13,314	14,012	14,794	15,676
11.8%	11,241	11,739	12,288	12,896	13,574

Selected Inputs

Terminal Growth Rate	2.0%
WACC	9.8%
Net Debt	(End of 2025) 2,979
Shares Outstanding	(FD 000) 100,441
Current Stock Price	(CA\$/sh) 352.72
USD/CAD Exchange Rate	1.41

Equity Value per Share (US\$/sh)

	Terminal Growth Rate				
	1.0%	1.5%	2.0%	2.5%	3.0%
WACC 7.8%	195.18	209.73	226.80	247.13	271.73
8.8%	166.30	176.90	189.08	203.20	219.78
9.8%	144.02	152.04	161.09	171.39	183.21
10.8%	126.32	132.56	139.50	147.29	156.08
11.8%	111.92	116.88	122.34	128.40	135.14

Equity Value per Share (CA\$/sh)

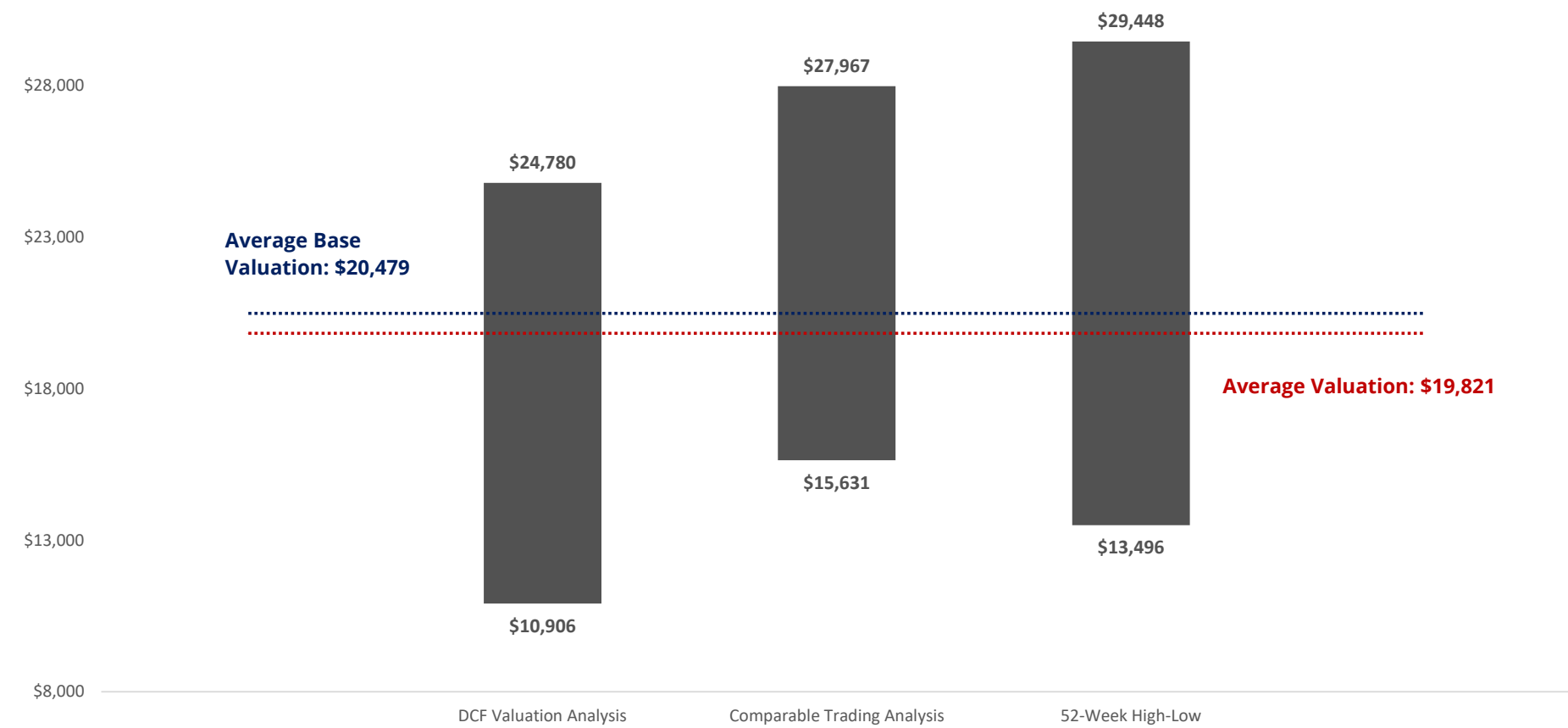
	Terminal Growth Rate				
	1.0%	1.5%	2.0%	2.5%	3.0%
WACC 7.8%	275.14	295.65	319.72	348.38	383.06
8.8%	234.43	249.38	266.55	286.45	309.82
9.8%	203.03	214.33	227.09	241.61	258.27
10.8%	178.08	186.86	196.65	207.63	220.02
11.8%	157.77	164.76	172.46	181.00	190.51

Premium (Discount) to Stock Price

	Terminal Growth Rate				
	1.0%	1.5%	2.0%	2.5%	3.0%
WACC 7.8%	(22.0%)	(16.2%)	(9.4%)	(1.2%)	8.6%
8.8%	(33.5%)	(29.3%)	(24.4%)	(18.8%)	(12.2%)
9.8%	(42.4%)	(39.2%)	(35.6%)	(31.5%)	(26.8%)
10.8%	(49.5%)	(47.0%)	(44.2%)	(41.1%)	(37.6%)
11.8%	(55.3%)	(53.3%)	(51.1%)	(48.7%)	(46.0%)

All figures in USD millions unless stated

Enterprise Value



All figures in USD millions unless stated

		Low	Delta	High	Mid
DCF Valuation Analysis Comparable Trading Analysis 52-Week High-Low		10,906	13,874	24,780	19,159
		15,631	12,336	27,967	21,799
		13,496	15,951	29,448	21,472
Average Valuation: \$19,821		19,821			
Average Base Valuation: \$20,479					20,479
52-Week Range	(CA\$/sh)	147.61	223.88	371.49	259.55
USD/CAD Exchange Rate					1.41
Shares Outstanding	(FD 000)				100,441
Net Debt					2,979

8.3 Legal Disclaimers & Disclosures

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